PLS GROUP LIMITED

ASX: PLS | Spodumene concentrate | Pilgangoora, Western Australia

The market is paying for a lithium miner.
We are paying for the only one of the six that can sell a tonne the others cannot.

BUY

12-month target A$6.12

Last close A$5.48 | +11.7%
Total return 13.4% vs benchmark 5.90%

FMAA Asset Management | Shared Value Coverage Team

Shared Value Project x FMAA | Investing for the Future Case Competition 2026
Valuation date 5 September 2026

Executive summary

Two thirds of the upside we see is the shared-value position the market has not priced. That is the entire recommendation.

01 The asset

A$569/t

FY26 unit cost, FOB

Pilgangoora produced 879.5kt in FY26, up 17%, at a 59% EBITDA margin. Costs fell 9% while volumes rose.

02 The balance sheet

A$2.29bn

Cash at 30 June 2026

Net cash of A$1.46bn, an inaugural US$600m bond, and a dividend reinstated at 5cps fully franked.

03 The growth

>2 Mtpa

P2000 doubles Pilgangoora

PFS puts the increment at A$2.6bn NPV and a 55% IRR. A$175m of pre-FID capital is already approved.

04 The shared value

A$0.43

per share, inside the target

Equal to 67% of the A$0.64 of upside. A further A$0.32 sits outside it, unpriced.

05 The valuation

A$6.12

12-month target

60% base-case DCF at an 8.88% WACC, 40% trading comparables. Bear A$2.26, bull A$8.93.

06 The mandate

13.4%

expected total return

+11.7% price and a 1.7% yield, against a benchmark that returned 5.90%. Outperformance of 7.5%.

Source: PLS Group FY26 results (24 August 2026); P2000 Pre-Feasibility Study (June 2024); team valuation model. Spodumene concentrate is the lithium-bearing rock concentrate PLS ships; SC6 denotes a 6% Li_2O grade.

Why PLS, and not the other five

For four of the six, ESG spend defends an existing cash flow. For PLS the societal need is the demand, and carbon intensity decides market access.

Company	Primary exposure	How ESG works in the business	Effect on value	EV/EBITDA	Net debt
BHP Group	Iron ore, copper, coal	Scope 1 and 2 abatement on long-life bulk assets. Spend protects a licence to operate.	Defensive	n/a	US$8.7bn
Rio Tinto	Iron ore, aluminium, lithium	Same, plus a lithium arm bought at the top of the cycle for US$6.7bn.	Defensive	7.8x	US$14.1bn
Fortescue	Iron ore, green energy	Green hydrogen ambition sits beside the iron ore business rather than inside it.	Adjacent	5.6x	US$0.9bn
South32	Alumina, base metals	Genuine transition-metal exposure, but ESG is still a cost of operating.	Defensive	8.5x	net cash
Mineral Resources	Lithium, iron ore, services	Lithium exposure diluted by services and iron ore, and constrained by gearing.	Diluted	7.8x	US$4.3bn
PLS Group	Lithium, pure play	The product IS the transition, and the carbon intensity of the tonne decides which market will take it.	**Offensive**	26.8x	net cash

The screen this case actually asks for

Porter and Kramer's test is whether solving a societal problem creates a new pool of value. Four of these six use ESG to protect cash flows they already have. That is competent risk management, and it is not shared value. Only PLS sits in a market where the environmental outcome is the reason the customer exists.

The honest caveat

PLS is also the riskiest of the six: one commodity, one principal asset, and a price that has moved by a factor of three in two years. A shared-value mandate does not suspend that. It is why our bear case is severe and why we size the downstream prize outside the target rather than inside it.

Sources: company FY26 results; data-vendor multiples, August 2026 (providers disagree materially on EV/EBITDA across this peer set - see appendix). PLS's 26.8x is trailing FY26 and falls to roughly 9x on FY27 estimates as the earnings recovery annualises.

01

Company and industry

What PLS is, what the last financial year proved, and what has actually changed in the lithium market.

PLS came out of the downturn stronger than it went in

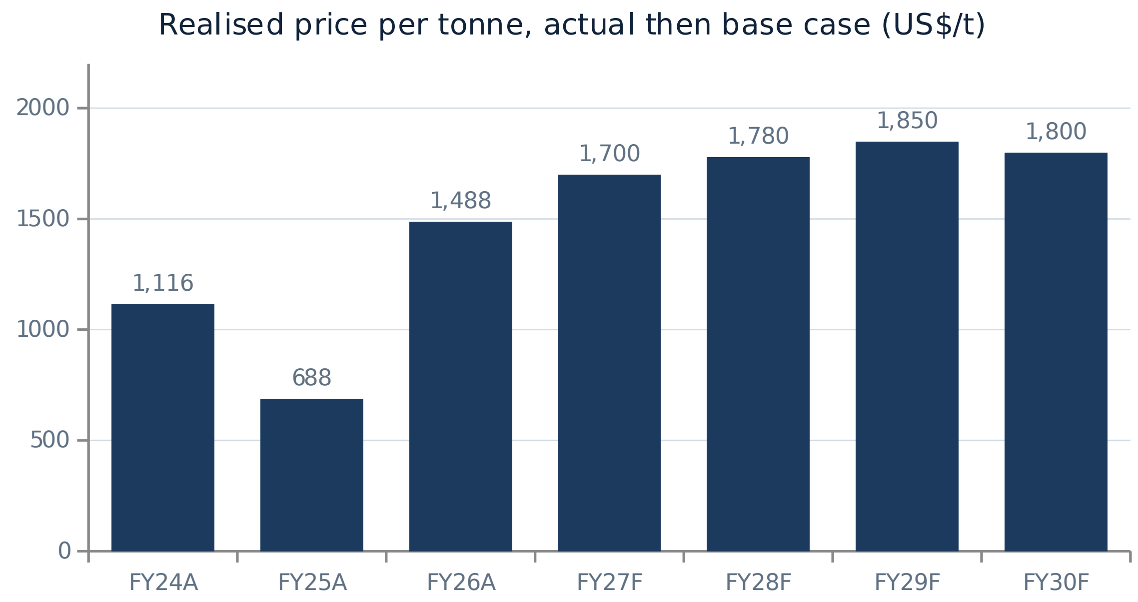
Record volumes, a 59% margin, A$2.29bn of cash and a reinstated dividend - achieved while the lithium price was still recovering.

879.5kt
Spodumene produced, FY26
Up 17%. Beat guidance by about 10kt.

A$1,934m
Revenue, FY26
Up 152% on FY25's A$769m.

A$1,137m
Underlying EBITDA
A 59% margin, against A$97m in FY25.

A$569/t
Unit cost, FOB
Down 9% while volumes rose 17%.



The number that matters most is not the average

- The June-2026 quarter realised US$2,107/t on actual grade, against a full-year average of US$1,488/t.
- PLS exited FY26 earning roughly 40% more per tonne than it averaged across it. FY27 annualises that.

	FY26 actual	FY27 guidance	Driver
Production	879.5kt	1,030-1,100kt	Ngungaju restart
Unit cost, FOB	A$569/t	A$575-625/t	Ngungaju mix effect
Capital expenditure	A$328m	A$620-685m	Includes A$175m P2000 pre-FID
Dividend	5.0cps franked	20-30% of free cash flow	Reinstated Aug 2026

A 17-25% volume step-up in FY27 at a unit cost only 1-10% higher. The extra Ngungaju tonnes cost more than the Pilgan average and are still well down the global curve.

Source: PLS Group FY26 results, 24 August 2026; June-2026 quarterly activities report. Realised price is on actual product grade (about SC5.2), which sits below the SC6 benchmark. FOB means free on board, i.e. the cost to get product onto the ship, excluding freight.

The cycle has turned, but it is a saw-tooth, not a straight line

Prices tripled off the 2025 trough and then fell hard in August as idled mines restarted. Credible forecasters disagree about what happens next, and we say so.

What has happened

Spodumene bottomed near US$600-750/t in 2025 and reached roughly US$2,038-2,200/t by August 2026. PLS's own realised price tripled over the same window. Then, in a single week in August, the Platts SpodIX benchmark fell US$270/t as Mineral Resources' Bald Hill, Core Lithium's Finniss and CATL's Jianxiawo all moved to restart.

Why we do not forecast a straight line

Our base case assumes PLS realises US$1,700/t in FY27 - about 11% below what current spot implies and 19% below the June-2026 quarter exit rate. We would rather be early and conservative on price than build a recommendation that needs the spike to hold.

Forecaster	Call on the 2026 balance	What they say
Fastmarkets	**Deficit**	Flips from a 2025 surplus to a 1.5kt LCE deficit; raised its 2027 carbonate forecast from US$22.65/kg to US$31.40/kg.
Morgan Stanley	**Deficit**	Calls an 80kt LCE deficit in 2026.
UBS	**Deficit**	Calls a 22kt LCE deficit in 2026.
Macquarie	Narrowing	2025 was the peak surplus year at 120kt; narrows to roughly balance (+1kt) by 2028.
Wood Mackenzie	**Surplus**	Base case keeps lithium chemicals in surplus through 2026-27, with a deficit not arriving until the early 2030s.
IEA	Long-run shortfall	Under its STEPS scenario, announced projects fall about 40% short of 2035 demand.

We have not smoothed this into one house view, because the disagreement is the point. Wood Mackenzie is the credible dissenter and we carry its view as our bear case rather than ignoring it. What every forecaster on this page agrees on is that 2025 was the peak surplus year.

Sources: S&P Global Platts SpodIX assessments, August 2026; Benchmark Mineral Intelligence, 12 August 2026; Fastmarkets; Morgan Stanley; UBS; Macquarie; Wood Mackenzie Lithium Energy Transition Outlook, 3 March 2026; IEA Global Critical Minerals Outlook 2026. LCE means lithium carbonate equivalent.

Two sovereign supply shocks and a second demand pillar

Whatever the next quarterly price print does, the shape of this market changed in 2026 - and none of it depends on electric vehicle subsidies.

1 China removed its own largest mine, twice

- CATL's Jianxiawo mine, about 150ktpa LCE and the largest lithium operation in China, was suspended in August 2025, restarted in mid-2026 and re-suspended in August 2026.
- Benchmark cut its 2026 estimate for the site from 62.5kt to 32kt LCE. The regulatory review may not conclude until 2027.
- A further 108ktpa LCE of Jiangxi capacity sits under the same licence scrutiny.

2 Zimbabwe closed the door early

- All raw mineral and concentrate exports were banned from 25 February 2026.
- The market had expected concentrate exports to stay legal until January 2027, so this arrived nearly a year early.
- Two unrelated, sovereign-driven disruptions inside twelve months is a more robust supply argument than either alone.

3 Storage became a demand pillar of its own

- Battery storage installations grew about 51% in 2025, on top of 26% growth in electric-vehicle battery demand.
- Storage went from roughly 23% of lithium demand in 2025 to about 31% in 2026, pulled by datacentre power demand.
- This leg is structurally independent of the vehicle-subsidy cycle now working against the market in the United States.

Why the third one matters most

Every team in this competition will note that lithium demand grows with electric vehicles. That argument is exposed to a single policy variable, and that variable has turned hostile in the United States. Grid storage is not. It is pulled by electricity demand and by datacentre buildout, and it grew fast enough in 2026 to keep global lithium demand rising 17-30% through the US policy reversal rather than in spite of it.

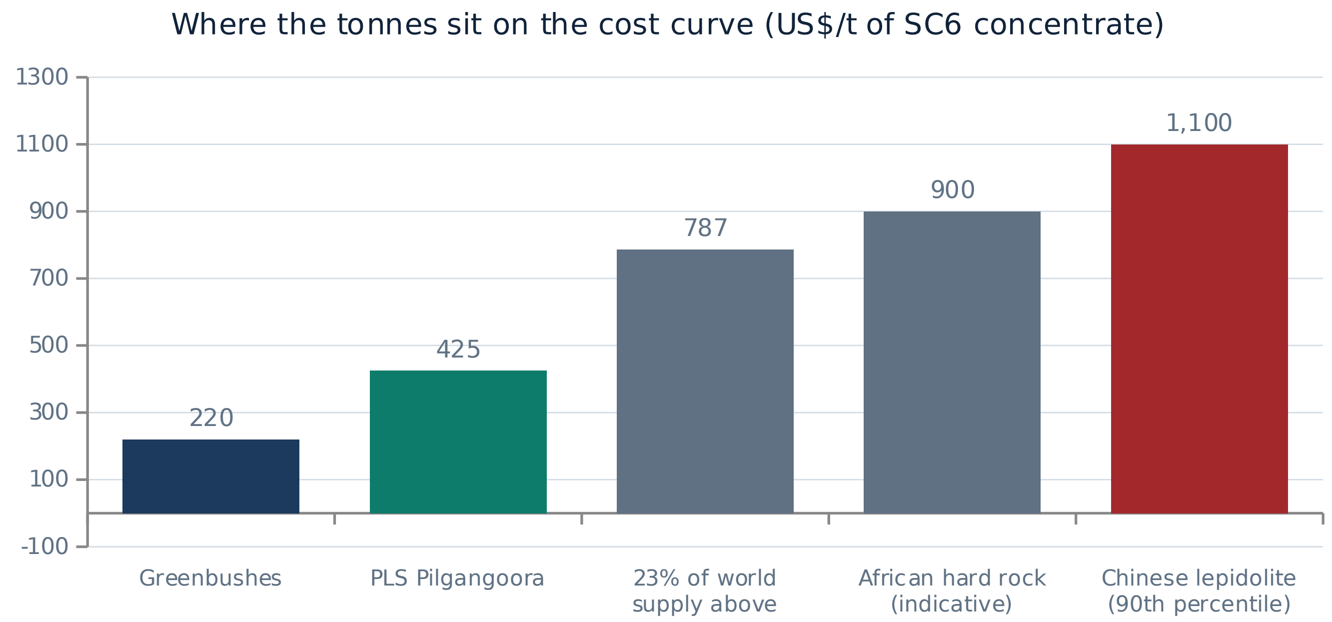
And what it takes to supply it

Benchmark Mineral Intelligence puts the greenfield incentive price - the level at which genuinely new supply gets funded - sustainably above US$20,000-25,000/t LCE, and estimates that more than 300 new projects are needed by 2035. Our base case long-run price of about US$1,750/t realised sits below the level that incentive analysis implies. If Benchmark is right, we are being too cautious, not too aggressive.

Sources: Benchmark Mineral Intelligence; Government of Zimbabwe export ban, 25 February 2026; Rho Motion and industry installation data; Reuters analyst poll (2026 demand growth of 17-30%).

Pilgangoora earns cash at prices that shut a quarter of world supply

This is why swing tonnes come off before PLS's do, and why the balance sheet compounds through a downturn instead of surviving it.



Read it against our own bear case

- Our bear case assumes a realised price equal to roughly US$1,145/t on an SC6 basis.
- At that price the top decile of world supply is under water and PLS still earns about US$720/t of cash margin.
- That is the mechanism behind the phrase swing supply: the marginal tonne leaves the market before the low-cost tonne does.

The assumption most teams will get wrong

Brine is no longer automatically the cheap end of this industry. S&P Global puts weighted Argentine brine all-in sustaining cost at US$7,223/t LCE in 2026, inflated by Argentine cost pressure, which is at or above much of the hard-rock curve. The old "brine beats rock" shorthand no longer describes the cost curve.

Basis note. PLS reports A$569/t FOB on its own product grade of about SC5.2. Converted to an SC6 basis and translated at 0.65 AUD/USD, that is roughly US$425/t - the figure shown above. We have made the conversion explicit rather than comparing grades that are not alike.

Sources: S&P Global Market Intelligence Mine Cost Outlook, January 2026; CRU Group (lepidolite cost distribution); PLS Group FY26 results. Greenbushes is operated by Talison, a Tianqi, Albemarle and IGO joint venture.

02

The shared value case

Porter and Kramer describe three levels of shared value. Most miners only ever reach the second one.

Three levels of shared value, and where mining actually sits

Cutting cost while cutting emissions is real, but it is the middle level and every competent operator gets there. The first level is where advantage is created.

Level 1	**Reconceiving products and markets** *Serve an unmet societal need in a way that opens a market that did not exist.*	PLS: electric calcination and a Korean conversion joint venture produce a low-carbon, traceable, non-China unit at the moment carbon intensity is becoming a condition of sale.	**Where the advantage is**
Level 2	**Redefining productivity in the value chain** *Solve an environmental problem in a way that lowers cost.*	PLS: sensor-based ore sorting rejects waste before the energy-intensive stages, so cost per tonne and energy per tonne fall together. Gas and solar displace diesel generation.	**Real, and roughly A$48/t**
Level 3	**Enabling local cluster development** *Build the suppliers, skills and institutions the business depends on.*	PLS: Traditional Owner agreements and Pilbara local content; in Brazil, the Salinas development including a flour-factory revitalisation supporting around 300 direct and indirect jobs.	**Makes the growth executable**

Framework: Michael Porter and Mark Kramer, 'Creating Shared Value', Harvard Business Review, 2011. Company evidence per PLS disclosures; see appendix for the full evidence table and our confidence rating on each item.

Carbon intensity is becoming a condition of sale

A tonne that cannot be declared cannot be sold into the highest-value chains at any price. PLS is building tonnes that can be.

1

Electric calcination

Calix technology, 100% PLS owned. Opened 5 June 2026; first lithium phosphate guided for the September 2026 quarter. Cuts calcination emissions by more than 80%.

>

2

A declarable unit

Calcination is the most energy-intensive step in the chain. Removing its emissions is what makes a low carbon footprint declarable rather than merely claimed.

>

3

Qualification

EU Battery Regulation requires a carbon footprint declaration and, from 2027, a battery passport. US foreign-entity-of-concern rules restrict China-linked chains. Korean and Japanese cell makers qualify suppliers on provenance.

>

4

A market others cannot enter

PLS supplies an 18%-owned Korean hydroxide joint venture at Gwangyang, with an option to lift that stake to 30% - a non-China conversion route into the customers who need one.

Why we still carry this at zero in the target

The mid-stream plant has not produced yet. The joint venture is still ramping. And we searched PLS's disclosed contracts for a carbon-linked price premium and could not find one. Sizing a prize is not the same as booking it, so none of this is in the A$6.12 target. It is quantified on the next page and held outside.

Why it is still the thesis

Every other lever in this deck lowers a cost that a competitor can also lower. This one changes which customers PLS is allowed to serve. That is Porter and Kramer's first level, it is the only lever on offer across these six companies that creates a market rather than defends a margin, and it is the reason we are recommending a lithium producer rather than a diversified major.

Sources: PLS and Calix announcements (plant opened 5 June 2026, ARENA-supported); POSCO Pilbara Lithium Solution disclosures; EU Regulation 2023/1542 on batteries and waste batteries; US Inflation Reduction Act foreign-entity-of-concern provisions. The >80% figure is the reduction in calcination emissions specifically, not in PLS's total footprint.

Productivity: real money, honestly labelled

These two levers are worth about A$48/t. They are also things a good operator would do without an ESG label, and we would rather say so than be caught pretending otherwise.

Lever 1 | Sensor-based ore sorting

The A$103m P680 project installed a TOMRA sensor-based sorter, described by the supplier as the largest in lithium at over 1,000 tonnes per hour, commissioned in August 2024. It rejects barren rock before the crushing and flotation stages, so fewer tonnes are milled for the same lithium output.

How we get to A$30/t. FY26 unit costs fell A$58/t, from A$627 to A$569. Volumes rose 17% over the same period, so roughly half of that fall is fixed-cost dilution on higher throughput. We attribute the remaining half - about A$29/t, which we round to A$30/t - to ore sorting and the associated processing improvements. This is our estimate, not a company disclosure.

Lever 2 | Power

Pilgangoora runs on its own generation rather than the state grid. Eight new gas gensets and LNG storage have displaced diesel, with battery storage planned to firm future solar. The company targets roughly 48% lower power emissions intensity by 2027, and up to 80% by 2030 if regional wind becomes available.

How we get to A$18/t. Power is typically 15-20% of hard-rock processing cost, so call it about A$95/t of the A$569/t base. A diesel-to-gas-and-solar switch of the scale described would cut that by roughly a fifth, or about A$19/t, which we round down to A$18/t. Again, our estimate. PLS does not disclose a power cost per tonne.

	A$/t	PV at A$20.5m per A$1/t (A$m)	A$/share	Evidence
Sensor-based ore sorting	30	614	0.19	Strong
Power: gas, solar and storage	18	368	0.11	Moderate
Total productivity levers	**48**	**982**	**0.31**	

The coefficient is from the model: one dollar per tonne of sustained unit margin, across the base-case volume profile, after tax and discounting, is worth A$20.5m of equity value.

Sources: TOMRA Mining and Global Mining Review (sorter commissioned August 2024, >1,000 t/h, described as the largest in lithium); PLS FY26 results (unit cost A$627/t to A$569/t); PLS power strategy disclosures. The A$30/t and A$18/t figures are the team's estimates with the arithmetic shown above, not company-disclosed savings.

What we found when we went looking for the gaps

The case asks for a critical eye. Here is where PLS's shared-value story is thinner than its reporting suggests, and what we would put to management.

What we looked for	What we found	Why it matters to the investment case	Severity
A dated net-zero commitment	The target is a decade, not a year: "the decade commencing 2040". No SBTi validation was found.	A ten-year window is not a plan a capital allocator can hold management to.	High
Scope 3 disclosure	None found. For a company whose product is consumed downstream, this is the emissions that matter most.	Undermines the low-carbon claim precisely where customers will audit it.	High
Emissions intensity per tonne	Not disclosed as a KPI. Third-party aggregator figures for FY23-24 exist but disagree and are unreliable.	Without it, no buyer can verify the carbon advantage we are underwriting.	High
A credible biodiversity offset	PLS pays into the Pilbara Environmental Offsets Fund. An independent review found its rate of A$893-3,781 per hectare too low to fund real conservation.	A sector-wide exposure, not a PLS failure - but PLS cannot claim biodiversity risk is mitigated by pointing at it.	High
Fleet decarbonisation	No electric haul fleet or trolley-assist programme found, while Fortescue runs public programmes.	A lever PLS has not pulled. Upside if taken, a gap in the meantime.	Medium
Tailings approach	Not disclosed. We could not establish whether Pilgangoora uses filtered or conventional wet tailings, nor its GISTM status.	We refuse to assert either way. It is an unpriced risk, and we say so.	Medium

The contradiction we had to resolve

We argue that social licence protects the P2000 permitting schedule while also reporting that the offset system underpinning that licence is independently judged inadequate. Both are true. The offsets regime is a live risk to every Pilbara miner, which makes getting ahead of it an opportunity rather than a footnote.

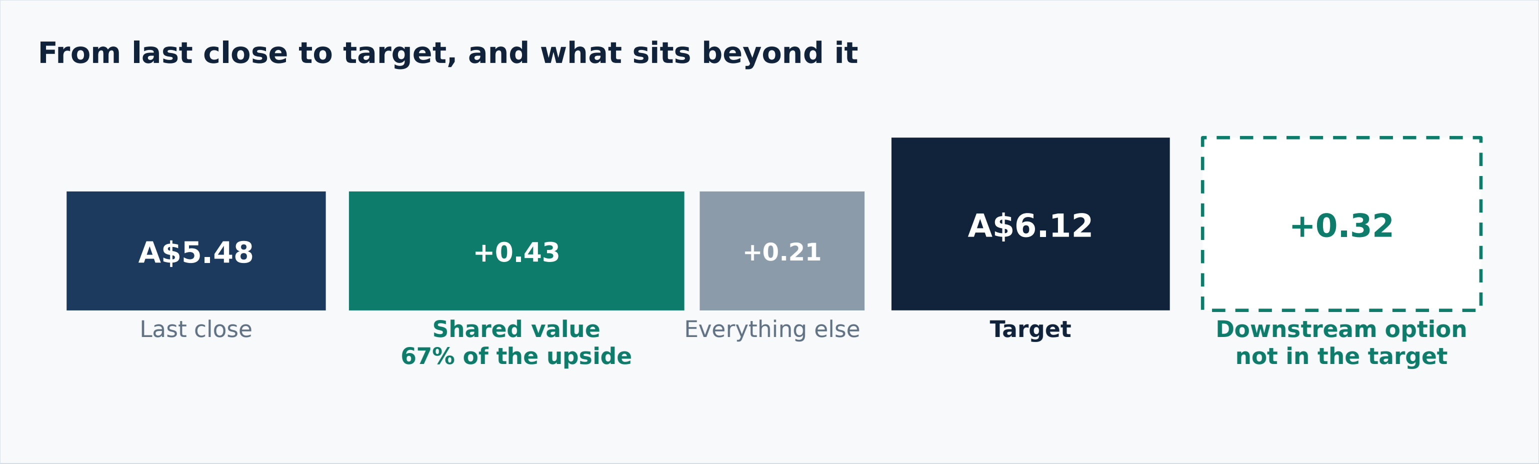
Our three engagement asks as a shareholder

1. Convert the 2040s window into a dated, SBTi-validated target.
2. Publish emissions intensity per tonne of concentrate and a verified product carbon footprint - the metric the EU regime will require anyway.
3. Disclose the tailings method and GISTM conformance status.

Sources: PLS climate and sustainability disclosures; ABC News, 'Pilbara mining offset scheme leaves threatened species short-changed, review finds', 21 October 2024; team research. Items marked as not found were searched for and could not be verified; we have not assumed absence of disclosure means absence of practice.

The bridge is an attribution, not an addition

Nothing here is added to the DCF. These levers are already inside the A$569/t cost base the model discounts. The question is how much of the value depends on them.



The arithmetic that reframes this pitch

- Measured against the A$6.12 target, A$0.43 of shared value is 4.6%. A rounding adjustment.
- Measured against the A$0.64 of upside, it is 67%. Most of the investment case.
- The upside is the right denominator, because the upside is what the recommendation is.

Tier	Lever	A$/share	Treatment
In the target	Ore sorting	0.19	Already inside the A$569/t cost base the DCF discounts. Attributed, not added.
In the target	Power: gas, solar, storage	0.11	Same. The bridge decomposes the valuation; it does not inflate it.
In the target	P2000 schedule protection	0.13	Value of avoiding a two-year permitting slip on a A$2.6bn NPV, at our WACC.
Outside the target	Mid-stream lithium phosphate	0.21	Risked at 45%. Plant built, first production due in the September 2026 quarter.
Outside the target	POSCO joint venture equity	0.06	Risked at 70%. Both trains built, Train 2 ramping. Lowest execution risk.
Outside the target	Low-carbon qualification premium	0.05	Risked at 25%. Directionally supported by policy, unproven in PLS's contracts.

Source: team valuation model, ESG Value Bridge and Downstream Option sheets. Every figure on this page is reproducible from the submitted workbook. Risk weightings are our judgement and are stated on the sheet.

03 Valuation, risk and recommendation

What the asset is worth, what has to be true for that to hold, and what would tell us first that it is not.

A finite orebody gets an annuity, not a perpetuity

That single choice is worth A$9.0bn of terminal value. It is the difference between valuing a mine and valuing a company that never runs out of rock.

Input	Value	Where it comes from	Tag
Risk-free rate	5.00%	Case document, page 6	**Case**
Market risk premium	6.00%	Case document, page 6	**Case**
Equity beta	0.73	Case document; Yahoo 5-year monthly	**Case**
Cost of equity	9.38%	CAPM: 5.00% + 0.73 x 6.00%	Derived
After-tax cost of debt	4.38%	6.25% note coupon at the 30% rate	Estimate
Target gearing	10%	Through-cycle; PLS is net cash by A$1.46bn	Estimate
WACC	**8.88%**	90% equity, 10% debt after tax	Derived

Base case DCF	A$m	Per share	A$
PV of explicit forecast, FY27-FY36	9,566	Value per share	**6.50**
PV of terminal value (annuity)	9,894	Last close	5.48
Enterprise value	**19,460**	Implied upside	**+18.6%**
Net cash	1,462	Terminal value as a share of EV	50.8%

The orebody runs out. So does the cash flow.

Pilgangoora's mineable base is 334.5Mt: the 446Mt resource at a 75% conversion assumption. Mass pull is 17.5%, from a 1.19% reserve grade at 76.5% recovery into a 5.2% concentrate. On the base-case profile the mine consumes 104.0Mt by FY36 and exits at 14.3Mt of ore a year, leaving 230.5Mt - about 16.1 years.

What that choice costs us

A$18.9bn

if we grew the final year's cash flow at 2.5% forever

A$9.9bn

as a 16-year annuity over the ore that is actually left - what we use

Why it matters here more than usual

P2000 roughly doubles the mining rate. Doubling throughput without restating reserves halves the mine life, so an expansion that looks purely additive on volume is partly just faster depletion. A growing perpetuity hides that entirely. The annuity forces us to pay for it.

Terminal value is 50.8% of enterprise value on our approach. On a perpetuity it would have been about 68%, with most of the answer resting on an assumption no orebody can honour.

Source: team valuation model, Assumptions and DCF sheets. Discounting uses a mid-year convention. The 75% resource-to-reserve conversion is a key judgement: the 214Mt Ore Reserve alone, last stated in August 2023 and not restated since the June 2025 resource upgrade, would not support the modelled expansion.

The range, and what has to be true

Base A$6.50, bear A$2.26, bull A$8.93. The bear sits 19% above the price the market actually paid at the bottom of the last cycle.

Valuation range by method (A$ per share)

What the bear case actually assumes

- Prices revert to marginal cost, P2000 is never sanctioned, Colina never proceeds and volumes stay flat for a decade - all at once.
- Even then A$2.26 is 19% above the A$1.91 printed in the last trough, when PLS held A$974m of cash and was loss-making rather than A$2.29bn and earning A$526m.

And the honest weakness

- Reward to risk is 1.07x: +63% to bull against -59% to bear. Not a lopsided bet, and we will not present it as one.
- What justifies the position is the expected return against the mandate, not the shape of the distribution.

Base-case value per share against realised price and unit cost (A$)

Unit cost	-20%	-10%	Base	+10%	+20%
-10%	3.98	5.42	6.86	8.30	9.73
-5%	3.80	5.24	6.68	8.12	9.55
Base	3.62	5.06	**6.50**	7.94	9.37
+5%	3.44	4.88	6.32	7.76	9.19
+10%	3.26	4.70	6.14	7.57	9.01

What has to be true

Read across the top for the commodity call and down the side for operational delivery. Shaded cells are below the current price.

PLS needs realised prices no worse than about 8% below our base case to justify today's price. Our base case is already 11% below spot-implied realisation and 19% below the June-2026 quarter. The pitch does not need the price to rise. It needs the price not to fall by a fifth.

Source: team valuation model, Football Field and Sensitivity sheets. Broker target range is the full individual analyst spread across 17-20 analysts; vendor averages cluster A$4.50-5.70. Our A$6.12 sits inside the individual range and below the most bullish.

What would break this, and what would tell us first

Every risk below has a named early-warning indicator, because a risk you cannot observe is not one you can manage.

Risk	Why it bites	Mitigant	Our early warning
Price relapse	Restart supply from Bald Hill, Finniss and Jianxiawo overwhelms demand and spodumene revisits the 2025 trough. Wood Mackenzie's base case says surplus until the early 2030s.	PLS earns cash where roughly a quarter of world supply does not, and holds A$2.29bn to wait.	Monthly SpodIX prints and Chinese carbonate inventory days.
The re-rating is spent	Short interest fell from about 20% of shares - the most shorted stock on the ASX - to about 6.8%. Much of the tripling was covering, and that buyer is now gone.	We do not underwrite another squeeze. The target rests on earnings and the growth option, not on flow.	ASIC short position reports; a re-build above 10% would be a warning.
P2000 slips or is shelved	The DFS is due in the December 2026 quarter and no FID has been taken. Our base case assumes first ore in mid-2029.	A$175m of pre-FID capital is already committed and the balance sheet can fund the A$1.2bn build.	The December quarter study outcome, and the FID decision itself.
Single asset, single commodity	One orebody in one jurisdiction, and one price series that has moved by a factor of three in two years.	Colina adds a second jurisdiction from the 2030s. It is risked at 40% in our NAV and contributes nothing before FY32.	Any operational interruption at Pilgangoora; Pilbara weather and cyclone season.
The carbon premium never arrives	Our level-one thesis assumes carbon intensity becomes a condition of sale. It may stay a preference that nobody pays for.	We have already priced this at zero inside the target and risked it at 25% outside it.	The first PLS contract with a disclosed carbon-linked term, or an EU declaration enforcement date.
Reserve conversion disappoints	Our terminal value assumes 75% of the 446Mt resource converts. The Ore Reserve has not been restated since August 2023.	The 2025 resource upgrade lifted contained lithium 23%, which supports rather than undermines conversion.	The next Ore Reserve statement. A conversion below 60% would cut the target by roughly A$0.40.

The risk we are most exposed to is the first one, and we have not hedged the language on it. If spodumene averages 20% below our base case across the forecast, the target falls to about A$4.98 and this recommendation is wrong.

Sources: ASIC short position reports via shortman.com.au (latest retrievable data 26 May 2026); Wood Mackenzie Lithium Energy Transition Outlook, 3 March 2026; PLS disclosures; team valuation model.

Recommendation

BUY

A$6.12

12-month target | +11.7%
Total return 13.4% vs benchmark 5.90%

The mandate is met

A 13.4% expected total return against a benchmark that returned 5.90%, for outperformance of 7.5%. The fund needs 2%.

The case is the shared value

A$0.43 of the A$0.64 of upside - 67% - comes from ESG-linked operating decisions the market is not paying for.

The option is free

A further A$0.32 per share of low-carbon downstream value sits outside the target entirely. Nothing in this recommendation needs it to land.

Catalysts inside the investment horizon

Sep-qtr 2026	**First lithium phosphate from the mid-stream plant**	Turns the level-one thesis from a plan into a product
Oct 2026	**September-quarter activities report**	The first full quarter at the post-restart run rate, and the price print after the August fall
Dec-qtr 2026	**P2000 definitive feasibility study**	The single largest value event in the pipeline: A$2.6bn of NPV at PFS level
Late 2026	**P2000 final investment decision**	A$175m of pre-FID capital is already spent; this converts the option
FY27	**Ngungaju at steady state**	Guidance implies 1,030-1,100kt, a 17-25% volume step-up

We would revisit this recommendation if spodumene averages more than 20% below our base case, if the P2000 study is deferred beyond the December 2026 quarter, or if short interest rebuilds above 10% of shares on issue.

APPENDIX

Everything behind the fifteen slides: the asset, the market, the frameworks, the ESG evidence, the model, and what we could not verify.

Pilgangoora: one orebody doing all the work

A single 100%-owned operation in the Pilbara with two processing plants, supplying customers in China and a joint venture in Korea.

Location	Pilbara region, Western Australia, about 120km from Port Hedland
Ownership	100% PLS Group
Mineral Resource	446Mt at 1.28% Li2O, containing 5.7Mt Li2O (June 2025 update, +23% contained lithium)
Measured and Indicated	376Mt at 1.29% Li2O
Ore Reserve	214Mt at 1.19% Li2O - stated August 2023 and not restated since the 2025 resource upgrade
Processing plants	Pilgan plant (about 1.0Mtpa after P1000) and Ngungaju plant (about 200ktpa, restarted July 2026)
Product	Spodumene concentrate at roughly 5.2% Li2O, shipped FOB Port Hedland
Lithia recovery	About 76.5% in FY26
FY26 production	879,500 dry metric tonnes, up 17%, ahead of guidance of 820,000-870,000t
Power	Site generation: gas gensets with LNG storage, displacing diesel; battery storage planned to firm future solar
Water	Saline groundwater from the Pilbara fractured-rock aquifer, with reverse osmosis on site for potable supply

Why a single asset is the central risk

Everything in this recommendation rests on one orebody in one jurisdiction. There is no second mine to carry a bad quarter. Colina adds a second jurisdiction only from the 2030s, and we risk it at 40%. A cyclone season, a plant outage or a permitting dispute at Pilgangoora is not diversifiable inside this position.

And why the orebody is nonetheless the reason to own it

446Mt at 1.28% Li2O is one of the largest hard-rock lithium resources in the world, at a grade that keeps mass pull at 17.5% and unit costs near the bottom of the global curve. Scale and grade are not strategy - but they are what makes the strategy affordable, and they cannot be replicated by a competitor's decision.

Sources: PLS Group resource update, June 2025; Ore Reserve statement, August 2023; FY26 results, 24 August 2026; mining-technology.com project profile.

Resource, reserve and the mine-life arithmetic

The reserve alone does not support the expansion we model. We say so, show the conversion assumption, and sensitise it.

Step	Value	Working
Mineral Resource	446.0 Mt	At 1.28% Li2O, containing 5.7Mt Li2O. June 2025 update.
Resource-to-reserve conversion	75%	Our assumption. The single most important judgement on this page.
Mineable ore base	334.5 Mt	446.0 x 75%
Reserve grade	1.19% Li2O	Per the August 2023 Ore Reserve statement
Lithia recovery	76.5%	FY26 reported
Concentrate grade	5.2% Li2O	PLS ships roughly SC5.2, below the SC6 benchmark
Mass pull	17.5%	1.19% x 76.5% / 5.2% - tonnes of concentrate per tonne of ore
Concentrate FY27-FY36, base case	18.2 Mt	Sum of the modelled production profile
Ore consumed to FY36	104.0 Mt	18.2 / 17.5%
Ore remaining after FY36	230.5 Mt	334.5 - 104.0
Exit mining rate	14.3 Mt p.a.	FY36 concentrate of 2,500kt / 17.5%
Remaining mine life	16.1 years	230.5 / 14.3 - the annuity period in our terminal value

What happens if conversion disappoints

At 60% conversion the mineable base falls to 267.6Mt, remaining life drops to about 11.4 years, and our target falls by roughly A$0.40 per share. At 90% it rises to 401.4Mt and about 20.8 years, adding roughly A$0.30. The Ore Reserve has not been restated since August 2023, so the next reserve statement is a genuine catalyst in both directions. We have flagged it in the risk register rather than assuming the 2025 resource upgrade converts automatically.

Sources: PLS resource and reserve statements; FY26 results; team valuation model, Assumptions sheet. Mass pull and mine life are computed live in the workbook, not typed.

P680 and the ore sorter

The clearest example in this business of an environmental improvement and a cost improvement being the same decision.

A$103m
P680 capital cost

Part-funded by a Northern Australia Infrastructure Facility debt facility of up to A$125m.

>1,000 t/h
Sorting capacity

A TOMRA sensor-based sorter, described by the supplier as the largest in lithium.

Aug 2024
Commissioned

Followed by the P1000 ramp, which lifted combined capacity to about 1.0Mtpa.

A$30/t
Our attribution

Roughly half of the A$58/t fall in FY26 unit costs, with the remainder from volume scale.

How sensor-based sorting works, and why it cuts two things at once

- Ore is scanned and barren rock is ejected before it reaches crushing and flotation.
- Fewer tonnes are milled for the same contained lithium, so energy per tonne of product falls.
- The same mechanism lowers unit cost, because milling and flotation are the expensive steps.
- Waste that never enters the plant also never enters the tailings stream.
- This is Porter and Kramer's second level: an environmental problem solved in a way that lowers cost, rather than an offset purchased after the fact.

The honest limits of this claim

- PLS does not disclose an energy saving per tonne attributable to the sorter, so our A$30/t is an attribution, not a disclosure.
- Trade press reported a 10% quarter-on-quarter unit cost reduction during the P1000 ramp; we could not verify the exact quarters, so we did not build on it.
- Ore sorting is available to any operator with the capital. It is a cost advantage today, not a durable moat.
- We would put a request for disclosed energy intensity per tonne to management, and have listed it as an engagement ask.

Sources: TOMRA Mining; Global Mining Review; Northern Australia Infrastructure Facility project page; PLS FY26 results. The A$30/t figure is the team's attribution, derived on slide 9 of the main deck.

How Pilgangoora got to a million tonnes

Three completed expansions in four years took nameplate from about 500ktpa to roughly 1.2Mtpa including Ngungaju.

Project	Status	Capital	Timing	Scope
P680	Complete	A$103m	Aug 2024	Crushing and ore sorting. Lifted the Pilgan plant to about 640-680ktpa.
P1000	Complete	A$375m	2025	Lifted combined Pilgangoora concentrate capacity to about 1.0Mtpa.
Ngungaju restart	Complete	Restart cost not disclosed	Jul 2026	About 200ktpa returned to service after being idled in December 2024.
Mid-stream demonstration	Commissioning	Milestone payments to Calix of at least A$11.4m identified	Opened Jun 2026	Electric calcination to lithium phosphate. First production guided for the September 2026 quarter.
P2000	Pre-FID	About A$1.2bn at PFS level; A$175m pre-FID approved	DFS Dec-qtr 2026	A new flotation plant taking total capacity above 2.0Mtpa. First ore guided mid-2029 if sanctioned.
Colina, Brazil	Study	A$45-55m of FY27 spend	DFS Dec-qtr 2027	77.7Mt at 1.24% Li_2O. No final investment decision taken.

What the completed column tells you

The three shaded green rows are done and inside the FY26 cost base. That is the record we underwrite: PLS has delivered three expansions through the worst lithium downturn in a decade, on an asset that kept producing while peers idled. Execution risk on P2000 should be judged against that record, not against a blank sheet.

And what the amber column costs

The two amber rows are options, not plans. Neither has an FID. Our base case sanctions P2000 in late 2026 and Colina after the December 2027 study; our bear case sanctions neither, and that single difference is most of the gap between A$6.50 and A$2.26. The growth pipeline is where the value is and where the risk is, and it is the same pipeline.

Sources: PLS and Calix announcements; mining-technology.com; NAIF; PLS FY26 results and FY27 guidance. Capital figures are as disclosed at the time of each announcement.

P2000: the largest single value event in the pipeline

A$2.6bn of incremental NPV at pre-feasibility level, a study due in the December 2026 quarter, and A$175m already committed to keep it on schedule.

A$2.6bn
Incremental NPV
At pre-feasibility level, June 2024. Not a company target for the final project.

55%
IRR at PFS
On the same pre-feasibility basis.

~A$1.2bn
Estimated capital
For a new flotation plant alongside the existing Pilgangoora facilities.

1.9 Mtpa
Average over 10 years
At about 5.2% grade, taking total capacity above 2.0Mtpa.

Milestone	Status	Detail
Pre-feasibility study	Complete, Jun 2024	A$2.6bn incremental NPV, 55% IRR, about A$1.2bn capital, 1.9Mtpa average over the first ten years.
Pre-FID capital approved	**Approved, Jun 2026**	About A$175m for early engineering, long-lead procurement, site preparation and study advancement, explicitly to preserve optionality.
Definitive feasibility study	**Due Dec-qtr 2026**	Originally flagged for the December 2025 quarter and since moved out a year. Inside our investment horizon.
Final investment decision	**Not taken**	Expected late 2026, conditional on study outcomes, funding capacity and market conditions.
First ore	Guided mid-2029	Equivalent to FY30 on PLS's June year end. Our base case assumes 250kt in FY30 ramping to 885kt by FY33.
Underground option	Under study	An underground mining option is being assessed to further improve project economics.

How we treat it, and why we do not simply take the A$2.6bn

The A$2.6bn is a pre-feasibility number produced in June 2024, before the price collapse and recovery. We do not add it to our valuation. Instead we model the production profile it implies inside the DCF, which means it is exposed to our own price deck and our own cost assumptions rather than the company's. In the risked sum-of-the-parts we carry P2000 at 70% of the A$2.6bn, reflecting a study that is due but not delivered and a board that has committed A$175m but not the remaining A$1.0bn.

Sources: PLS P2000 pre-feasibility study announcement, 21 June 2024; PLS pre-FID capital approval, June 2026; FY27 guidance. PFS-level economics carry the usual accuracy range and are superseded by a definitive study.

Ngungaju: the swing plant, switched back on

Idled in December 2024 when prices collapsed, restarted in July 2026 when they recovered. It is the clearest evidence that PLS manages capacity to the cycle.

Date	Event	What it tells you
Dec 2024	Placed into care and maintenance	PLS cut production guidance and idled about 200ktpa of capacity rather than sell tonnes below cost into a collapsing market.
FY25	Operated Pilgan only	Production of 755.6kt at A$627/t. The company stayed cash generative at an underlying EBITDA of A$97m through the worst of the cycle.
2026	Restart approved	Cited improved market conditions and ongoing customer demand.
Jul 2026	**Restarted**	Just after the FY26 year end. Steady state targeted within the first four months of FY27.
FY27	Guidance 1,030-1,100kt	A 17-25% volume step-up, with unit costs guided A$575-625/t because Ngungaju tonnes cost more than the Pilgan average.

Why this matters more than the tonnes

Idling capacity is easy to announce and hard to do: it means writing off fixed costs, standing down a workforce and telling customers no. PLS did it, held the balance sheet through the trough, bought Latin Resources in scrip at the bottom, and restarted when the price justified it.

That is the behaviour the cost-curve slide predicts. A producer at the low end of the curve gets to choose when to supply. A producer at the high end has the choice made for it.

The cost consequence we do not hide

Restarting Ngungaju raises the average unit cost. FY27 guidance of A$575-625/t is above the A$569/t achieved in FY26, and the company attributes the step-up to the Ngungaju mix.

Our base case uses A$600/t for FY27, the guidance midpoint, falling to A$565/t by the 2030s as P2000 volume dilutes fixed costs. In the bear case we assume Ngungaju is throttled back to 120kt from FY30 rather than shut, because a restart-capable plant is worth more idle than closed.

Sources: PLS announcements on Ngungaju care and maintenance (December 2024) and restart (2026); FY26 results and FY27 guidance; Australian Mining, 'Ngungaju restart powers PLS towards one-million-tonne FY27'.

The mid-stream plant: where the level-one thesis becomes a product

100% owned, opened June 2026, first production guided for the September 2026 quarter. It cuts emissions from the most energy-intensive step and moves PLS down the value chain.

>80%
Cut in calcination emissions
When the electric kiln is powered by renewables. Calcination is the most energy-intensive step in the chain.

5 Jun 2026
Officially opened
Attended by the WA Premier and the then-Chair of the Australian Renewable Energy Agency.

Sep-qtr 2026
First production
First spodumene calcination and lithium phosphate production. Inside our investment horizon.

A$0.21
Risked value per share
Our estimate at a 45% probability, held outside the target price.

What it actually does

- Calix electric-kiln technology replaces fossil-fired calcination with electric heat that can be renewably powered.
- The output is lithium phosphate, a mid-stream product, rather than raw concentrate.
- PLS captures conversion margin it currently cedes to third-party converters, most of them Chinese.
- Full heat cycles of the electric calciner were completed successfully as at the July 2026 quarterly, demonstrating design-spec power draw and heating range.
- Supported by the Australian Renewable Energy Agency; the exact grant amount was not found in our sources.

Why we still carry it outside the target

- It is a demonstration plant. Nothing at demonstration scale is a revenue line until it produces.
- First production is guided for the current quarter, so we are one quarterly report away from knowing.
- Scale-up beyond the demonstration unit is not funded and not announced.
- We therefore size it at A$1,536m unrisked, apply a 45% probability, and keep the resulting A$0.21 per share out of the A$6.12 target.
- If it works, this is the single most important thing PLS does this decade, because it converts an ESG claim into a product specification.

Sources: PLS and Calix announcements; ARENA, 'ARENA backs low emissions lithium refining in WA'; PLS June-2026 quarterly activities report. The >80% figure is the reduction in calcination emissions specifically, not in PLS's total footprint.

The POSCO joint venture: a non-China conversion route

18% of a 43,000 tonne per year lithium hydroxide plant in Korea, with an option to lift the stake to 30%. Small in earnings, strategically disproportionate.

Vehicle	POSCO Pilbara Lithium Solution, Gwangyang, South Korea
Ownership	POSCO Holdings 82%, PLS Group 18%, with a PLS option to increase to 30% at any time up to 18 months after Train 2 reaches 90% of nameplate
Capacity	Two trains, 43,000 tonnes per year of lithium hydroxide monohydrate combined - described as enough for roughly one million electric vehicles a year
Status	Train 1 began ramping in 2024; Train 2 construction complete and ramping over 12-18 months post-commissioning
Feedstock	PLS supplies spodumene concentrate from Pilgangoora under a long-term arrangement
Why it matters	It is a conversion route that is not in China, at the moment US foreign-entity-of-concern rules and EU provenance requirements are making that a purchasing criterion
What we could not verify	Whether any impairment or writedown has been taken on the investment. We searched and found none, but treat that as unconfirmed rather than as evidence of none

How we value it, and why the option to 30% matters more than the 18%

We size the joint venture at 43,000 tonnes a year, an assumed A$4,200 per tonne conversion margin and an 18% share, giving about A$32.5m of attributable EBITDA, capitalised at 8x for A$260m and risked at 70% - the lowest risking of the three downstream levers, because both trains are built. That is A$0.06 per share, which is not why this asset matters.

It matters because it is a call option on Korean conversion capacity struck before provenance became a purchasing criterion. Lifting the stake from 18% to 30% would raise attributable earnings by two thirds at a price agreed years ago. We have not valued that option, which makes our downstream number conservative.

Sources: POSCO Newsroom; PLS announcements; KED Global; chemengonline.com. Conversion margin is the team's assumption; PLS does not disclose joint-venture unit economics.

Colina, Brazil: a second jurisdiction, a decade out

Acquired in all-scrip at the bottom of the cycle. Real optionality, but no final investment decision, no permits and no production before the 2030s on our numbers.

How PLS got it	Takeover of Latin Resources, announced 15 August 2024, legally effective January 2025. All scrip at 0.07 PLS shares per Latin share, about A$560m implied
Why all-scrip mattered	It preserved PLS's net-cash position through the trough. No cash left the balance sheet to buy a second orebody
Resource	77.7Mt at 1.24% Li2O, carried over from Latin Resources. We could not confirm any update since acquisition
Location	Salinas, Minas Gerais, in the Vale do Jequitinhonha - Brazil's so-called Lithium Valley
Feasibility study	Outcomes targeted for the December 2027 quarter
Final investment decision	Not taken. PLS says it will consider one after studies, exploration and permitting, taking market conditions into account
FY27 spend	A$45-55m
Since year end	About A$50m spent acquiring tenements adjacent to Colina from Lithium Ionic
Community	Company messaging cites roughly 300 direct and indirect jobs via the revitalisation of a flour factory - a level-three cluster initiative

Our treatment

First production assumed FY32, ramping to about 500ktpa by FY35. This is our modelling assumption and not a company target - PLS has not adopted Latin Resources' original 2026 first-production plan. In the sum-of-the-parts we risk Colina at 40%, the harshest risking we apply to any asset, because the study is more than a year away.

The shared-value angle we did not overstate

The Jequitinhonha valley is one of Brazil's poorest regions, and a flour-factory revitalisation supporting 300 jobs is a genuine cluster investment in Porter and Kramer's third sense. It is also, at this stage, a company claim we could not independently verify, and it contributes nothing to the valuation. We report it as evidence of intent, not of impact.

Sources: PLS and Latin Resources announcements; mining.com.au; mining.com. The 77.7Mt resource is as reported by Latin Resources pre-acquisition; we found no restatement under PLS ownership.

The offtake book: spot-linked, and that cuts both ways

PLS sells at prevailing market prices rather than under fixed-price contracts. It captured the recovery in full, and it would capture a relapse in full too.

Counterparty	Terms as disclosed	Pricing mechanism
Ganfeng Lithium	Original 2017 agreement for 160ktpa. Amended January 2024: 310kt in 2024, a further 100kt in 2025 with an option to 150kt, and 100kt in 2026 with an option to 150kt	Prevailing market price
Chengxin Lithium	85kt in 2024, 150kt in 2025, 150kt in 2026	Prevailing market price
Sichuan Yahua	Three-year deal: 20-80kt in 2024, then 100-160kt in each of 2025 and 2026	Not disclosed in our sources
Canmax	150ktpa with an option to increase, described as a two-year agreement	Not disclosed in our sources
POSCO	Long-term concentrate feedstock into the Gwangyang joint venture	Linked to joint-venture requirements
Yibin Tianyi	An additional spodumene offtake was signed; tonnage not disclosed in our sources	Not disclosed

What spot linkage did in FY26

Realised prices moved from US$742/t in the September 2025 quarter to US$2,107/t in the June 2026 quarter, a factor of 2.8 inside one financial year. A fixed-price book would have muted both the collapse and the recovery. PLS took the full force of each.

Grade normalisation is confirmed in the company's own reporting: it discloses both an actual-grade and an SC6-equivalent realised price, so contracts are Li_2O-linked to the industry benchmark.

What we could not establish

We could not find the exact contractual formula - whether grade adjustment is linear or stepped, which index is referenced, or whether an M+1 pricing lag applies. Several sources describe pricing simply as prevailing market price. We have therefore modelled realisation as a single blended price per tonne with a freight and timing adjustment calibrated to reported revenue, rather than pretending to a contract-level precision we do not have.

Sources: smallcaps.com.au; mining.com; miningweekly.com; capitalbrief.com; fastmarkets.com; mysteel.net; PLS quarterly activities reports. Where a term is marked not disclosed, it was searched for and not found.

Board and management

A chair with rare-earths experience, a chief executive who has run the company through a full cycle, and a dedicated Sustainability Committee at board level.

Name	Role	Since	Background
Kathleen Conlon	Non-Executive Chair	Feb 2024	Recently retired Chair of Lynas Rare Earths; non-executive director of Aristocrat Leisure and BlueScope Steel.
Dale Henderson	Managing Director and CEO	Jul 2022	Ran the company through the 2023-25 collapse and the 2026 recovery. Succeeded Ken Brinsden.
Sally-Anne Layman	Non-Executive Director	Apr 2018	Chairs the Sustainability Committee; sits on Audit and Risk; director of Beach Energy.
Nicholas Cernotta	Non-Executive Director	Feb 2017	Chairs the People and Culture Committee; member of the Sustainability Committee.
Stephen Scudamore	Independent Non-Executive Director	Not confirmed	30 years with KPMG; non-executive director of Australis Oil & Gas and Regis Resources.

What the structure tells us

A named board Sustainability Committee, chaired by a long-tenured director who also sits on Audit and Risk, is a better signal than a sustainability report. It means ESG matters reach the board through a standing committee with a member who sees the financial reporting.

The chair's Lynas background is directly relevant: rare earths is the one other Australian critical-minerals sector that has had to argue provenance and processing to non-Chinese customers.

What we could not confirm

Multiple sources describe the board as six members - five independent non-executive directors plus the chief executive - but we could positively identify only the five people listed. At least one director's identity could not be confirmed from the sources available to us, and company websites were not reachable from our research environment.

We also could not verify whether ESG or sustainability metrics carry explicit weightings in short or long-term incentive scorecards. That is a material gap for a shared-value thesis and is listed in the gaps register.

Sources: Capital Brief; Mining Magazine; Mining Weekly; businessnews.com.au. PLS's own board page and 2025 Corporate Governance Statement were identified but could not be opened from our environment.

How a tonne of rock becomes a battery

Five steps, and PLS is trying to move from the first one into the second. That move is the entire level-one thesis.

1
Mine and concentrate

Hard-rock pegmatite is mined, crushed, sorted and floated into spodumene concentrate at about 5.2-6.0% Li_2O.

PLS today

2
Calcine and convert

Concentrate is calcined at high temperature, then leached into lithium carbonate or hydroxide. Most of this happens in China.

PLS is entering

3
Cathode active material

Carbonate or hydroxide becomes cathode powder - LFP, NMC or others.

Not PLS

4
Cell and pack

Cathode, anode, electrolyte and separator become a cell, then a module and a pack.

Not PLS

5
Vehicle or grid storage

The pack goes into an electric vehicle or a grid-scale storage system.

The demand driver

Where the value sits, and why step two is the one that matters

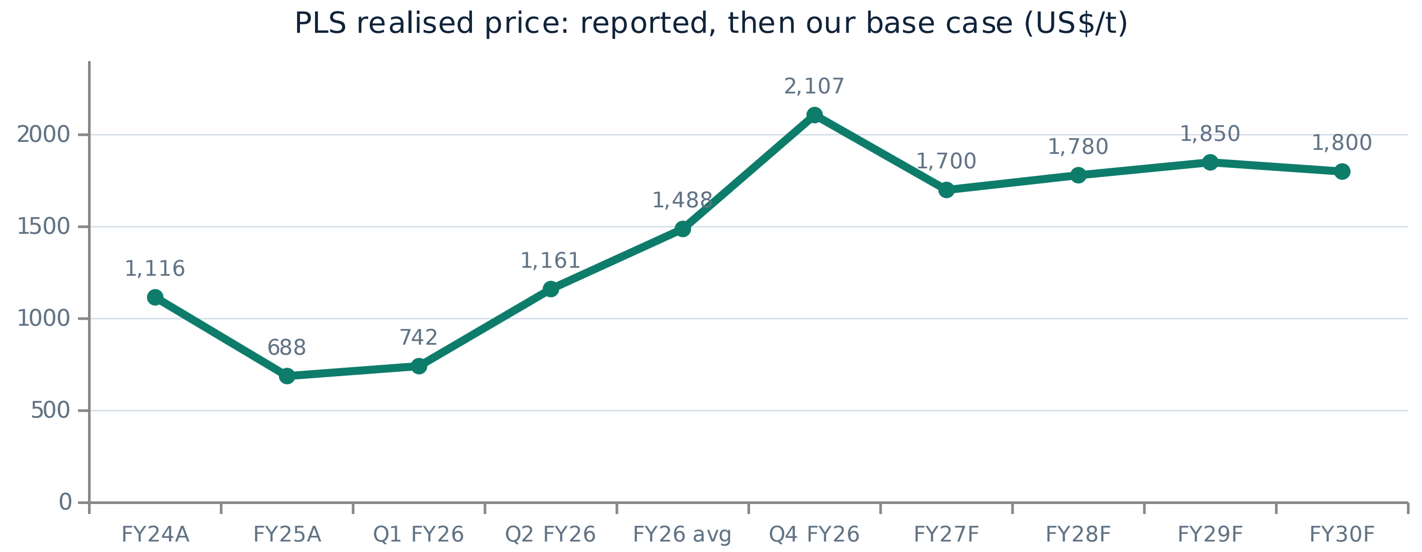
A tonne of spodumene concentrate at US$1,750 contains roughly 0.13 tonnes of lithium carbonate equivalent. At US$18,000 per tonne of carbonate, that same lithium is worth about US$2,340 once converted - and conversion costs perhaps US$2,000-3,000 per tonne of carbonate. The spread is real but not enormous, and it is captured almost entirely outside Australia.

The reason step two matters is not the margin. It is that calcination is where most of the embedded carbon in a battery's lithium enters the chain. Whoever controls calcination controls the carbon footprint that gets declared under the EU Battery Regulation. PLS is not entering conversion to capture a spread; it is entering to control a number that is about to become a condition of sale.

Sources: industry conversion ratios (roughly 7.5 tonnes of SC6 per tonne of LCE); Benchmark Mineral Intelligence price assessments; EU Regulation 2023/1542. Conversion cost is an indicative industry range, not a PLS disclosure.

Price history: the round trip that made this case interesting

Spodumene went from about US$8,000/t at the 2022 peak to roughly US$600-750/t in 2025, and back to about US$2,038-2,200/t by August 2026.



Benchmark	Level
Spodumene SC6, 2022 peak	~US$8,000/t
Spodumene SC6, 2025 trough	US$600-750/t
Spodumene SC6 FOB Australia, 12-Aug-26	US$2,038/t
Platts SpodIX CIF China, Aug-26	US$2,200/t
Weekly move in that August print	-US$270/t
Lithium carbonate, 12-Aug-26	US$18,310/t
Lithium carbonate, China, 4-Sep-26	CNY 152,000/t
Australian Government REQ 2026 forecast	US$2,236/t

Two things this chart is designed to make obvious

First, the June-2026 quarter print of US$2,107/t is above every year in our forecast. Our base case does not assume the recovery continues; it assumes prices settle roughly a fifth below the exit rate and stay there. Second, the Australian Government's own Resources and Energy Quarterly forecast a 2026 spodumene average of US$2,236/t - materially above the US$1,700/t we use for FY27. We are not the bullish end of this debate. We are below the official forecaster and below spot.

Sources: PLS quarterly activities reports (realised prices, actual grade, CIF China); Benchmark Mineral Intelligence, 12 August 2026; S&P Global Platts; Trading Economics; Australian Government Resources and Energy Quarterly, June 2026. FY27-FY30 are the team's base case.

Where the world's lithium actually comes from

Three countries supply most of it, from three geologically different sources with very different cost and carbon profiles.

Source	Where	Cost position	Carbon and water profile	What it means for PLS
Hard rock (spodumene)	Australia, then Zimbabwe, Brazil, Canada, Mali	Greenbushes about US$220/t; PLS about US$425/t SC6-equivalent	Energy-intensive at calcination; low water use; dry-stack tailings feasible	PLS's own category. Scale and grade decide the ranking within it
Continental brine	Chile, Argentina	Argentine weighted AISC US$7,223/t LCE in 2026 - no longer the cheap end	Low energy, high water use and long evaporation cycles; local water conflict risk	Brine's historic cost advantage has eroded, which helps hard rock
Lepidolite	China, mainly Jiangxi	Some operations above US$1,100/dmt, around the 90th percentile	20-30 tonnes of ore per tonne of LCE; very high waste and energy intensity	The marginal tonne. It leaves the market first when prices fall
Clay and other	United States (McDermitt), various	Pre-production; no established cost curve	Unproven at scale	A 2030s question, not a 2026 one

The structural point

These are not interchangeable tonnes. A tonne of lithium from Jiangxi lepidolite carries roughly an order of magnitude more waste rock and considerably more embedded energy than a tonne from Pilgangoora. As carbon accounting reaches raw materials, the cost curve and the carbon curve start to converge - and they converge in the same direction for PLS.

The honest counterpoint

Carbon intensity is not the only thing customers buy on, and today it is rarely the deciding factor. Price and security of supply still dominate. Our thesis is that the ordering changes over the next five years under EU and US rules, not that it has already changed. If it does not, the level-one argument fails and the stock is worth roughly what the comparables say - about A$5.56.

Sources: S&P Global Market Intelligence Mine Cost Outlook, January 2026; CRU Group; USGS Mineral Commodity Summaries; Goldman Sachs lepidolite cost work. Ore-to-LCE intensity for lepidolite is an industry range.

The Jianxiawo timeline: how one Chinese mine moved the world price

About 150,000 tonnes a year of lithium carbonate equivalent, suspended, restarted and re-suspended inside thirteen months.

Aug 2025	**First suspension**	CATL's Jianxiawo mine in Jiangxi - the largest lithium operation in China - is suspended over mining-licence issues. Prices rally.
Mid-2026	**Restart**	The mine restarts, adding supply back into a recovering market.
Aug 2026	**Re-suspension**	Suspended again. Benchmark Mineral Intelligence cuts its 2026 output estimate for the site from 62,500t to 32,000t LCE.
Ongoing	**Review may run into 2027**	The regulatory review may not conclude until 2027, and about 108,000tpa LCE of further Jiangxi capacity sits under the same scrutiny.

Why this belongs in an investment case rather than a news summary

A single asset representing roughly 150ktpa LCE is about 10% of a market that ran a surplus of perhaps 33-120kt in 2025. Its on-off status is therefore not noise; it is the swing factor that decides whether 2026 prints a surplus or a deficit, which is exactly why credible forecasters disagree.

It also demonstrates something structural: the highest-cost, highest-waste tonnes in this industry sit in a jurisdiction that has shown it will suspend them for regulatory reasons unrelated to price. That is a supply curve with a political discontinuity in it, and it favours low-cost producers in stable jurisdictions - which is the position we are underwriting.

Sources: Benchmark Mineral Intelligence; S&P Global; Reuters coverage of the Jianxiawo suspensions. Market balance figures per the forecaster comparison in B11.

Resource nationalism is now a supply variable

Zimbabwe banned concentrate exports a year earlier than expected. Two sovereign-driven disruptions in twelve months is a pattern, not a coincidence.

Jurisdiction	Action	Timing	Effect on the market
Zimbabwe	Ban on all raw mineral and concentrate exports, forcing domestic processing	**25 Feb 2026**	Arrived nearly a year earlier than the market expected; concentrate exports had been assumed legal until January 2027
China	Mining-licence enforcement in Jiangxi; Jianxiawo suspended twice	2025-2026	Removes the highest-cost, highest-waste tonnes; review may run into 2027
Indonesia, historically	Nickel ore export ban forcing downstream investment	2014, 2020	The template. Resource nationalism in battery materials is an established playbook, not a novelty
Chile	State participation in lithium via a national strategy	2023 onward	Raises the bar for new brine supply from the lowest-cost basin
Australia	Critical Minerals Production Tax Incentive: a 10% refundable offset on eligible processing costs	Legislated	Pushes in the opposite direction - it subsidises domestic downstream processing rather than restricting exports

What it means for the supply forecast

Every forecaster's 2027-2030 supply curve assumes projects come on when economics allow. Two of the last twelve months' largest supply events had nothing to do with economics. That asymmetry matters: political supply interruptions are almost always restrictive, rarely expansive. It biases the distribution of supply outcomes toward tighter, not looser.

And what it means for PLS specifically

Australia is the counter-example on this page: rather than restricting exports, it is subsidising domestic processing through a 10% refundable production tax offset. We have not put a number on PLS's eligibility because we could not verify whether the mid-stream plant qualifies. If it does, it improves the economics of exactly the asset our level-one thesis depends on. We carry that at zero.

Sources: Government of Zimbabwe export ban, 25 February 2026; Australian Government Critical Minerals Production Tax Incentive; Reuters and S&P Global coverage. We did not verify PLS's CMPTI eligibility and carry it at nil.

The restart tracker: what came back, and what it did to the price

Three idled operations moved to restart in the same window, and the Platts benchmark fell US$270 a tonne in a single week.

Operation	Owner	Status	Why it matters
Bald Hill	Mineral Resources	Restarted after being idled since November 2024; first shipment targeted in the first quarter of FY27	Direct Australian competitor tonnes returning to a recovering market
Finniss	Core Lithium	Moving to restart	A previously uneconomic Northern Territory operation made viable again by price
Jianxiawo	CATL	Restarted mid-2026, re-suspended August 2026	The largest single swing factor in the market
Ngungaju	**PLS Group**	Restarted July 2026, steady state targeted within four months	PLS is part of this supply response. We are not pretending otherwise

The uncomfortable point we put on the slide rather than in a footnote

PLS is not a bystander to the restart wave. It restarted Ngungaju in the same window as Bald Hill and Finniss, and it is guiding to a 17-25% volume increase in FY27. Every producer restarting at once is precisely what caps a price recovery, and our own recommendation contributes to it.

That is why our base case assumes realised prices fall roughly a fifth below the June-2026 exit rate rather than holding it. It is also why the cost curve matters more than the price forecast: in a market where everyone restarts, the question is not who supplies the next tonne but who is still profitable when they all do. On our numbers PLS earns roughly US$720/t of cash margin at a price that puts the top decile of world supply under water.

Sources: S&P Global Platts, 'Asian lithium may ease in Q3 amid expectations of higher supply'; company announcements from Mineral Resources, Core Lithium, CATL and PLS.

Cost curve detail

Australian hard rock sits at the bottom, Chinese lepidolite at the top, and Argentine brine has moved from the cheap end to the middle.

Benchmark	Level	Basis	Source
Greenbushes cash cost	~US$220/t SC6 FOB	Cash cost	Lowest-cost operation globally; Talison joint venture
PLS Pilgangoora	**~US$425/t SC6-equivalent**	A$569/t FOB at SC5.2, converted	PLS FY26 results; conversion shown in the main deck
Threshold above which 23% of concentrate production sits	US$787/t SC6 FOB	All-in sustaining	S&P Global Mine Cost Outlook, January 2026
Some lepidolite operations	**>US$1,100/dmt**	Concentrate cost, about the 90th percentile	CRU Group
Argentine brine, weighted	US$7,223/t LCE	All-in sustaining, 2026	S&P Global - elevated by Argentine cost inflation
Industry average	US$5,887/t LCE	All-in sustaining, 2026, +0.8% year on year	S&P Global Market Intelligence
Greenfield incentive price	Sustainably above US$20,000-25,000/t LCE	What new supply needs to get funded	Benchmark Mineral Intelligence
Long-run incentive price	~US$29,000/t LCE in real 2024 terms	Long-run	Benchmark Mineral Intelligence

The comparison most decks get wrong

Concentrate costs are quoted per tonne of concentrate; brine and integrated costs per tonne of lithium carbonate equivalent. They are not comparable without converting at roughly 7.5 tonnes of SC6 per tonne of LCE. We have kept the two units separate on this page rather than presenting a single misleading ladder.

What it implies for our price deck

Our long-run base case of about US$1,750/t realised, roughly US$2,000/t on an SC6 basis, converts to well under the US$20,000-25,000/t LCE that Benchmark says greenfield supply requires. Either our long-run price is too low, or the 300-plus projects Benchmark says 2035 demand needs will not be funded. Both cannot be true, and we have chosen the conservative side.

Sources: S&P Global Market Intelligence, Mine Cost Outlook, January 2026; CRU Group; Benchmark Mineral Intelligence. PLS's SC6-equivalent cost is our conversion from the disclosed A$569/t FOB at SC5.2 grade and 0.65 AUD/USD.

Electric-vehicle demand: still the largest leg, and the most politically exposed

It remains most of lithium demand, and it is the part of the thesis a single government can damage. That is why we do not rest the case on it.

1 What is growing

- Electric-vehicle battery demand grew about 26% in 2025.
- Reuters-polled analysts expect total lithium demand to grow 17-30% in 2026.
- China remains the dominant single market for both production and sales.

2 What is working against it

- United States policy has turned: the Inflation Reduction Act consumer incentives and tariff settings under the current administration have removed support from US electric-vehicle demand.
- Global demand nonetheless kept rising through that reversal, which is the point.

3 Why chemistry matters here

- The shift toward lithium iron phosphate cathodes favours lithium carbonate over hydroxide.
- Spodumene feeds both, so PLS is chemistry-agnostic at the concentrate level.
- The POSCO joint venture produces hydroxide, which is the nickel-rich end of the market - a partial exposure to the chemistry mix.

The argument we are deliberately not making

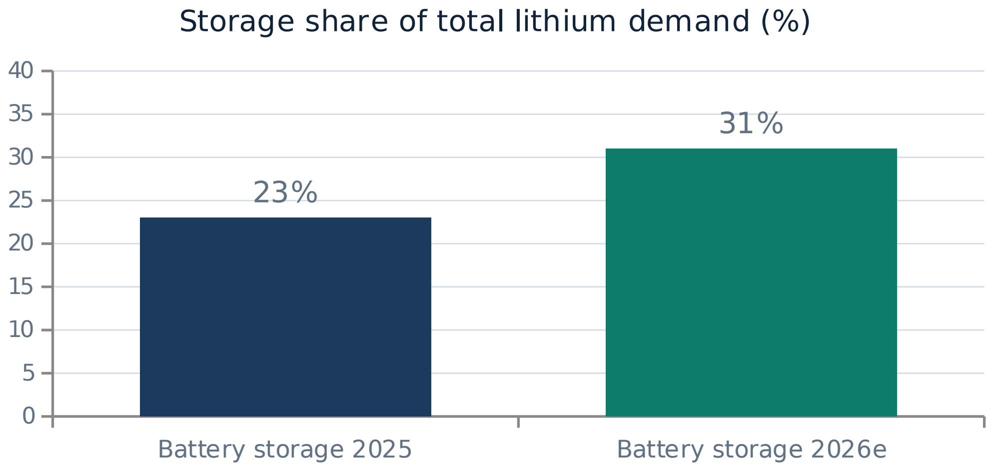
The standard lithium pitch is: electric vehicles grow, therefore lithium goes up, therefore buy a lithium miner. We think that argument is weaker in 2026 than it has been at any point in the last five years, because its central assumption - that policy support for electric-vehicle adoption is a one-way ratchet - has just been falsified in the world's second-largest car market.

Our case does not need electric-vehicle demand to accelerate. It needs the cost curve to keep sorting winners from losers, and it needs carbon accounting to keep spreading through supply chains. Both of those continue regardless of what happens to US purchase incentives. The storage demand leg on the next page is what makes total demand robust to this particular risk.

Sources: Rho Motion and industry battery-demand data; Reuters analyst poll on 2026 lithium demand; IEA Global EV Outlook. US policy characterisation reflects reporting through 2026.

Storage demand: the leg nobody was modelling three years ago

Installations grew about 51% in 2025 and storage went from roughly 23% to about 31% of lithium demand in a single year, pulled partly by datacentre power.



Why this is structurally different from vehicle demand

- Grid storage is bought by utilities and datacentre operators on a levelised-cost basis, not by households responding to a purchase subsidy.
- Its driver is electricity demand growth and grid firming, which is currently being pulled hard by artificial-intelligence datacentre buildout.
- China's power and energy-storage battery production reached 191.7 GWh in May 2026 alone, up 55.2% year on year.
- Storage overwhelmingly uses lithium iron phosphate chemistry, which consumes lithium carbonate - the product spodumene feeds most directly.
- It is therefore a demand leg that is uncorrelated with the single largest political risk to the electric-vehicle leg.

The honest limit of this argument

Storage is growing from a smaller base and is more price-elastic than vehicle demand: a storage project that does not pencil at US$25,000/t lithium carbonate simply waits. So this leg supports demand at moderate prices and caps it at high ones. That is consistent with our price deck, which has all three scenarios converging on a long-run level rather than running away, and it is part of why we think a spike would be self-correcting rather than sustained.

Sources: industry installation data via Benchmark Mineral Intelligence and Rho Motion; China Automotive Battery Innovation Alliance production data reported for May 2026.

Market balance: the forecasters genuinely disagree

Presented as found rather than smoothed into a house view, because the disagreement is itself the most useful thing on this page.

Year	Forecaster	Balance, kt LCE	Note
2023	S&P Global	+120	Surplus
2024	S&P Global	+84	Surplus narrowing
2025	S&P Global	+33	Also cited elsewhere at +141; two report vintages we could not reconcile
2025	Macquarie	+120	Described as the peak surplus year
2025	Fastmarkets	+10	Small surplus
2026	Fastmarkets	**-1.5**	Flips to deficit
2026	Morgan Stanley	**-80**	Deficit
2026	UBS	**-22**	Deficit
2026-27	Wood Mackenzie	**Surplus**	Base case: oversupply peaks in 2027; deficit not until the early 2030s
2028	Macquarie	+1	Roughly balanced
2028	Wood Mackenzie	Deficit	Net Zero scenario only
2035	IEA	**-40%**	Announced projects fall about 40% short of demand under the STEPS scenario

What we take from it

The one point of convergence is that 2025 was the peak surplus year. Beyond that, credible houses disagree by a full turn of the cycle. We have not resolved the disagreement by picking a favourite: Wood Mackenzie's surplus-until-the-2030s view is effectively our bear case, and the Fastmarkets, Morgan Stanley and UBS deficit calls are effectively our bull case. Our base case sits between them, which is the honest place for it to sit.

Sources: S&P Global Commodity Insights; Macquarie; Fastmarkets; Morgan Stanley; UBS; Wood Mackenzie Lithium Energy Transition Outlook, 3 March 2026; IEA Global Critical Minerals Outlook 2026. Figures are as reported by each house at different dates and are not on a common definition.

Substitution and recycling: the two ways this thesis dies slowly

Neither is material inside our forecast window, but both are real, and a lithium bull who ignores them is not being serious.

Threat	What it is	Realistic timeline	Our view
Sodium-ion batteries	Sodium replaces lithium entirely. Lower energy density, cheaper inputs, better cold performance.	Late 2020s at scale	Most credible in stationary storage and low-range vehicles - which is where our storage demand leg sits. This is the sharpest threat to the bull case.
Solid-state batteries	Solid electrolyte replacing liquid. Often uses MORE lithium, sometimes lithium metal anodes.	2030s	Usually mischaracterised as a lithium threat. It is more likely lithium-positive on a per-kWh basis.
Recycling	Black-mass recovery returning lithium to the chain without new mining.	Material in the 2030s	Constrained by the stock of end-of-life batteries. Today's fleet has not aged enough to supply it at scale.
Lithium iron phosphate shift	Cheaper cathode chemistry using less nickel and cobalt but similar lithium.	Already happening	Neutral to positive for spodumene: it shifts demand toward carbonate, which spodumene feeds.
Thrifting and design	Less lithium per kWh through cell and pack engineering.	Continuous	Real but incremental, and historically outrun by volume growth.

Where this bites our numbers

Sodium-ion is the one we would watch. If it takes a meaningful share of stationary storage before 2030, the demand leg we described as structurally independent of vehicle policy becomes partly substitutable, and our long-run price of about US$1,750/t realised is too high. Our terminal value is an annuity over sixteen years, so roughly half our enterprise value sits in a period where this risk is live.

That is a genuine vulnerability and we would rather state it than have a judge find it. The mitigant is that it is a slow risk with visible tells - sodium-ion cell cost per kWh and announced storage orders - rather than a sudden one.

Sources: Benchmark Mineral Intelligence; BloombergNEF; IEA. Timelines are the team's read of published roadmaps and are inherently uncertain.

Porter's five forces applied to hard-rock lithium

Rivalry is brutal and undifferentiated on price. The only defensible position is a cost and provenance position, which is what we are buying.

Rivalry among producers	HIGH	A commodity with no product differentiation at the concentrate level. Price is set by the marginal tonne, and the 2023-25 collapse showed how fast it clears.
Threat of new entrants	MEDIUM	Capital intensity and permitting are real barriers, but Benchmark says 300-plus new projects are needed by 2035, so entry is expected and funded when prices allow.
Supplier power	LOW	Mining inputs - fuel, reagents, labour, contractors - are competitive markets. Labour tightness in the Pilbara is the main exception.
Buyer power	HIGH	Concentrated Chinese converters buy most of the world's spodumene at prevailing market prices. This is the force PLS's downstream strategy is designed to reduce.
Threat of substitutes	LOW to MEDIUM	Sodium-ion in stationary storage is the credible one, and it is late-decade. Solid-state is more likely lithium-positive.

The conclusion that follows

Four of the five forces are unattractive or neutral, and the industry structure offers no product differentiation. In an industry like that, only two positions survive a full cycle: the lowest-cost quartile, or a position that changes what the buyer is buying. PLS is attempting both simultaneously, which is why we own it rather than a diversified major with a lithium division.

Framework: Michael Porter, 'How Competitive Forces Shape Strategy', Harvard Business Review, 1979. Ratings are the team's assessment.

Hamilton Helmer's seven powers: PLS satisfies two, partially

We ran the test honestly. A commodity producer does not have many durable powers, and pretending otherwise would be the easiest thing on this deck to puncture.

Scale economies	PARTIAL	446Mt at 1.28% Li_2O and 17.5% mass pull give real fixed-cost dilution. But scale in mining is replicable by anyone with a comparable orebody.
Network economies	NO	Spodumene has no network effect. A tonne is worth the same to the tenth customer as the first.
Counter-positioning	PARTIAL	Electric calcination is a business model Chinese converters cannot easily copy without stranding fossil-fired kilns. That is the closest thing here to genuine counter-positioning.
Switching costs	NO	Offtakes are priced at prevailing market. Customers can and do switch suppliers between cargoes.
Branding	NO	There is no brand premium on concentrate. Provenance is a specification, not a brand.
Cornered resource	PARTIAL	The orebody itself is genuinely cornered: 446Mt at that grade in a stable jurisdiction cannot be replicated by a competitor's decision.
Process power	NO	Ore sorting and flotation are available to any operator with the capital. We say this on the ore-sorting slide too.

Why we still recommend it after failing four of seven

Because we are not claiming a moat. We are claiming a cost position, an orebody that cannot be replicated, and a five-year window in which carbon accounting reorders who is allowed to sell into the best markets. That is a temporal advantage, not a permanent one, and it is priced accordingly: our target implies 11.7% upside, not a re-rating to a premium multiple.

Framework: Hamilton Helmer, '7 Powers: The Foundations of Business Strategy', 2016. Assessments are the team's.

Barriers to entry

Capital and permitting keep new supply out at low prices and let it in at high ones. That is why the cycle is violent and why cost position, not barriers, is the durable defence.

Barrier	Strength	Assessment
Capital requirements	High	P2000 alone is about A$1.2bn. Benchmark estimates the industry needs more than US$116bn by 2030. Few developers can fund a build through a price trough.
Orebody access	High	A 446Mt resource at 1.28% Li_2O is not a decision a competitor can make. Geology is the one genuinely cornered input.
Permitting and heritage	Medium-High	Post-Juukan Gorge, Western Australian heritage approvals are slower and more scrutinised. This favours incumbents with existing agreements.
Processing know-how	Medium	Flotation and ore sorting are licensable. TOMRA will sell a sorter to anyone. This is not proprietary.
Offtake relationships	Low-Medium	Contracts are priced at prevailing market and re-tendered. Relationships help; they do not lock customers in.
Time	High	First ore from P2000 is guided mid-2029 on a project studied since 2024. A greenfield project is a decade. Supply cannot respond to price inside a cycle.

The asymmetry that matters most

Time is the real barrier. Because supply takes five to ten years to respond and demand moves in eighteen-month cycles, this industry structurally overshoots in both directions - which is exactly the 2022 peak and the 2025 trough. It is also why a perpetuity struck at either extreme is meaningless, and why our three price scenarios converge rather than diverge. The cycle is the industry's defining feature, not an interruption to it.

Framework after George Yip, 'Barriers to Entry', 1982. Assessments are the team's, evidenced from company and industry sources cited elsewhere in this appendix.

SWOT

Written to be useful rather than balanced: the weaknesses and threats are longer than the strengths, because that is what the evidence supports.

Strengths

- Bottom-quartile cost position: A$569/t FOB, about US$425/t SC6-equivalent
- 446Mt at 1.28% Li2O, one of the largest hard-rock resources globally
- A$2.29bn of cash and net cash of A$1.46bn after a full downturn
- Three expansions delivered through the trough; dividend reinstated
- The only genuine non-China downstream route among the six: Calix plus POSCO

Weaknesses

- One orebody, one commodity, one jurisdiction
- Net-zero target expressed as a decade, not a year; no SBTi validation found
- No Scope 3 disclosure and no emissions intensity KPI
- Ore Reserve not restated since August 2023
- No electric haul fleet or trolley assist, unlike Fortescue

Opportunities

- P2000: A$2.6bn incremental NPV at PFS, study due December-quarter 2026
- Mid-stream lithium phosphate: first production guided this quarter
- Option to lift the POSCO stake from 18% to 30%
- EU Battery Regulation and US FEOC rules turning provenance into a purchase criterion
- Colina as a second jurisdiction from the 2030s

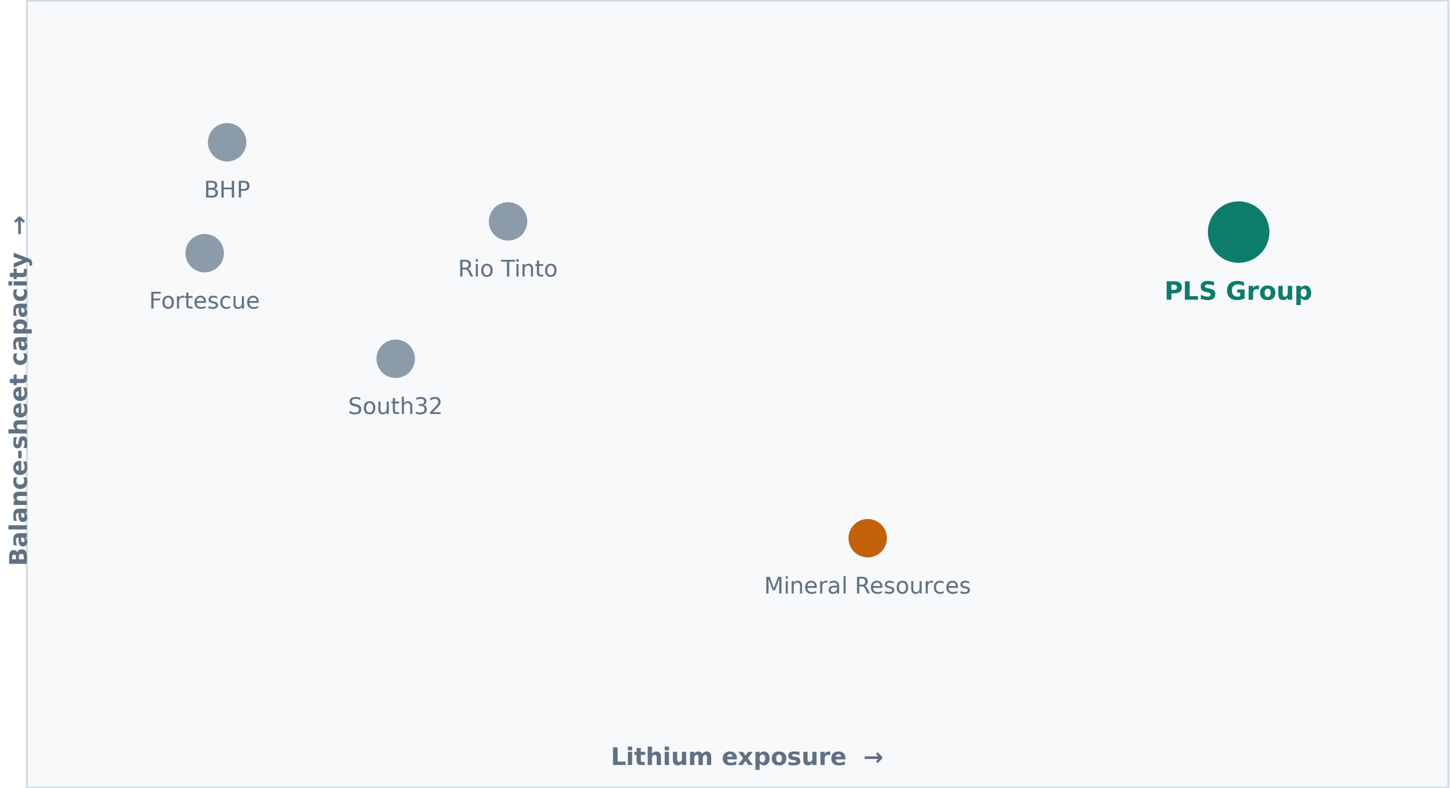
Threats

- Restart supply: Bald Hill, Finniss and Jianxiawo all returning
- Wood Mackenzie's base case of surplus until the early 2030s
- Short-covering fuel is spent: 20% of shares to about 6.8%
- Sodium-ion substitution in stationary storage late this decade
- The Pilbara offsets regime found independently underfunded

Sources: as cited throughout this appendix. This SWOT is a summary of evidence presented elsewhere, not a separate assertion.

Peer positioning: lithium exposure against balance-sheet capacity

The two things that decide who gets to act counter-cyclically. PLS is the only one of the six with both.



Reading the chart

- Vertical axis is capacity to act: net cash or low gearing, and the ability to fund growth through a trough.
- Horizontal axis is how much of the business is actually lithium.
- BHP, Rio Tinto, Fortescue and South32 have the balance sheet but not the exposure. A lithium recovery barely moves their earnings.
- Mineral Resources has the exposure but carries roughly US$4.3bn of net debt at 1.7x EBITDA, which constrains what it can do at the bottom of a cycle.
- PLS has both. That is why it could idle Ngungaju, buy Latin Resources in scrip at the trough, restart when prices recovered, reinstate a dividend and still hold A$2.29bn.
- Position on this chart is our assessment, not a computed score.

Sources: company FY26 results and balance sheets. Axis positions are the team's qualitative assessment and are illustrative rather than measured.

Why not the other five, in detail

Each of the five is a defensible investment. None of them is a shared-value investment in the sense this case defines.

Company	The case for it	Why we did not pick it for THIS mandate
BHP Group	Scale, diversification, US$32.9bn of underlying EBITDA, a 4.3% yield and the strongest balance sheet in the sector.	Its ESG programme is Scope 1 and 2 abatement on iron ore and coal. That is a cost of staying in business. Nothing about it creates a new market, which is what the brief asks us to find.
Rio Tinto	The most direct lithium exposure among the majors after acquiring Arcadium for US$6.7bn, plus Rincon in Argentina.	It bought lithium at the top of the cycle with US$14.1bn of net debt. The lithium exposure is real but diluted to a fraction of group earnings, so a lithium thesis expressed through Rio is mostly an iron ore position.
Fortescue	A genuine decarbonisation ambition in green hydrogen and an attractive yield.	The green energy business sits beside the iron ore business rather than inside it. That is adjacency, not shared value: solving a societal problem in a separate division does not change the competitive position of the core.
South32	Real transition-metal exposure in aluminium and base metals, net cash, and a consensus Buy.	The closest runner-up. But its ESG work is still fundamentally licence-to-operate spending on existing assets, and its commodity mix does not put carbon intensity on the revenue line.
Mineral Resources	The other lithium pure-play route on the list, with a 44% revenue increase and EBITDA up 183% in FY26.	Lithium is diluted by mining services and iron ore, gearing is roughly US$4.3bn at 1.7x EBITDA, and the group has carried governance controversies. Constrained optionality is the opposite of what a counter-cyclical thesis needs.

None of this says the other five are bad investments. It says that for a mandate defined by shared value, five of the six offer ESG as a cost of doing business and one offers it as the reason the business exists.

Sources: company FY26 results; data-vendor consensus and multiples, August 2026. Characterisations of each company's ESG posture are the team's assessment from public disclosure.

Materiality now, and materiality in 2030

The case asks what is material today against the medium to long term. For lithium those are different lists, and the difference is the investment case.

Issue	Material today	Material by 2030	Why the ranking moves
Product carbon intensity	Low	**Critical**	EU carbon footprint declarations and battery passports from 2027; US FEOC rules. Moves from disclosure to a condition of sale.
Energy cost and source	**High**	**High**	Already in the unit cost line. Stays material as the grid and diesel prices move.
Traditional Owner relations	**Critical**	**Critical**	Post-Juukan Gorge this is a permitting precondition. It gates P2000.
Water	Medium	Medium	Pilgangoora uses saline groundwater, so it does not compete for potable supply. Structurally lower risk than brine.
Tailings and waste	Medium	**High**	Volumes rise with P2000. GISTM expectations tighten. PLS has not disclosed its method.
Biodiversity	Medium	**High**	Nature-related disclosure is following climate disclosure, and the Pilbara offsets regime is already judged inadequate.
Scope 3 emissions	Low	**High**	Customers will be required to account for upstream emissions. Not currently disclosed by PLS.
Workforce and psychosocial safety	**High**	**High**	WA parliamentary scrutiny of the fly-in fly-out sector; labour scarcity constrains growth delivery.
Governance and capital discipline	**Critical**	**Critical**	In a cyclical commodity, when you spend matters more than what you spend on.

The one that moves the most

Product carbon intensity goes from an item almost nobody prices today to the single most material issue on the list by 2030. That movement is the whole thesis. If we are wrong about the timing, we are wrong about the recommendation - which is why we hold the downstream option outside the target price rather than inside it, and why our A$6.12 stands on the cost position alone.

Assessment is the team's, informed by SASB Metals and Mining standards, the EU Battery Regulation timetable and PLS's own disclosure. Ratings are ours, not the company's.

Emissions and targets: what is disclosed, and what is not

PLS reports directionally and improved 7.1% last year. It does not report the two numbers a low-carbon thesis actually needs.

Metric	What PLS discloses	Our assessment
Scope 1 and 2, absolute	A 7.1% reduction year on year reported in the FY25 results. Absolute tonnages were not retrievable from our sources.	**Directional only**
Scope 3	Not found.	**Material gap**
Emissions intensity per tonne	Not disclosed as a KPI. Third-party aggregators carry FY23-24 figures that disagree and that we judged unreliable.	**Material gap**
Net zero target	"The decade commencing 2040" - a ten-year window rather than a year.	**Weak**
Interim target	About 48% lower power emissions intensity by 2027, rising to as much as 80% by 2030 if regional wind becomes available.	**Credible and dated**
SBTi validation	Not found.	**Gap**
Product carbon footprint	No third-party verified lifecycle assessment found.	**Material gap**

Why we are still positive

The interim power target is the one that is both dated and quantified, and it is the one that flows to the cost line. A 48% reduction in power emissions intensity by 2027 is achievable through the gas conversion already installed plus the planned solar and storage. That is a plan with equipment attached, which is more than most net-zero commitments in this sector have.

And why the gaps genuinely matter here

Our level-one thesis is that PLS can sell a declarable low-carbon tonne. A company that does not publish emissions intensity per tonne of concentrate, has no verified product carbon footprint and discloses no Scope 3 cannot presently make that declaration. The gap is not cosmetic - it is the difference between the thesis being true and being aspirational, which is precisely why we price the downstream option at zero inside the target.

Sources: PLS FY25 full-year results commentary; PLS climate disclosures; third-party ESG aggregators (treated as unreliable and not relied upon). Items marked not found were searched for and could not be verified from our environment.

Power strategy: the lever that shows up in the cost line

Diesel to gas is done. Solar and storage are planned. Wind is aspirational. We have valued the first, part-valued the second and ignored the third.

Element	Status	Detail	How we treat it
Gas gensets and LNG storage	**Installed**	Eight new gas gensets plus LNG storage, displacing diesel generation at Pilgangoora.	Inside the A$569/t FY26 cost base. Attributed within our A$18/t estimate.
Battery energy storage	**Planned**	A lithium-ion system to support future solar generation - PLS storing its own product on its own site.	Partly reflected in the FY27-onward cost path. Not separately valued.
Solar generation	**Planned**	Named in the power strategy as the route to the 2027 intensity target.	Same.
Wind	**Conditional**	PLS says up to 80% intensity reduction by 2030 IS POSSIBLE if regional wind becomes available. It is not a committed project.	Excluded entirely. We do not model conditional infrastructure.
Camp microgrid	**Operating**	A GenOffGrid microgrid cutting emissions by more than 36%, about 529 tonnes CO2e a year, displacing roughly 200,000 litres of diesel.	Noted but immaterial: 529 tonnes against site emissions in the hundreds of thousands.
Electric haul fleet	**Not found**	No electric haul truck or trolley-assist programme was found, while Fortescue runs public programmes.	Treated as a gap and an upside lever PLS has not pulled.

The discipline we applied to this page

It would have been easy to add the 80% by 2030 figure to the bridge and claim a larger shared-value number. We did not, because that target is explicitly conditional on wind that does not yet exist in the region. Equally, we could have presented the camp microgrid's 529 tonnes as evidence of decarbonisation; it is roughly 0.3% of site emissions on the best aggregator estimate we found, and presenting it as more would be exactly the greenwashing this case asks us to detect.

Sources: PLS power strategy disclosures; pilbaraminerals.com.au news releases; GenOffGrid; mining.com.au. The Alinta Energy hybrid project that appears in searches relates to Fortescue's Newman operations, not PLS, and we have not attributed it here.

Ore sorting as a shared-value case study

Worked through properly, because this is the one lever where the environmental and financial mechanisms are provably the same mechanism.

The problem	Milling and flotation are the energy-intensive steps. Every tonne of barren rock that enters them consumes power, water and reagents for no lithium.
The intervention	A TOMRA sensor-based sorter, over 1,000 tonnes per hour, installed in the A$103m P680 project and commissioned in August 2024. Rock is scanned and waste ejected before it reaches the plant.
The environmental outcome	Less ore milled per tonne of contained lithium means less energy per tonne of product, and waste that never enters the plant never enters the tailings stream.
The financial outcome	FY26 unit costs fell A$58/t, from A$627 to A$569, while volumes rose 17%. We attribute roughly half the fall to volume scale and half - about A$29/t - to sorting and associated processing gains.
The shared-value test	Would PLS have done it without an ESG rationale? Almost certainly yes. That does not disqualify it under Porter and Kramer's second level - which is precisely about solving environmental problems in ways that lower cost - but it does mean it is not a differentiator. Any competitor can buy a sorter.
The valuation treatment	A$30/t multiplied by the model's coefficient of A$20.5m of equity value per A$1/t gives A$614m, or A$0.19 per share. It is attributed from the existing valuation, not added to it.

Why we included the fifth row

A judge will ask whether ore sorting is really shared value or just good engineering. The honest answer is that it is both, and that the label does not change the cash flow. What it does change is how much weight the lever can carry: an advantage any competitor can buy is worth having and not worth paying a premium for. That is why our level-one argument rests on the mid-stream plant and the Korean joint venture rather than on this.

Sources: TOMRA Mining; Global Mining Review; PLS FY26 results; team valuation model, ESG Value Bridge sheet.

Water

Structurally the strongest environmental position PLS holds, and largely an accident of geology rather than a strategic choice. We say so.

Source	Groundwater from the Pilbara fractured-rock aquifer, drawn via dewatering bores including the Southern Borefield and piped to the process plant
Salinity	Naturally saline. A reverse-osmosis plant on site produces potable water for camp and process needs
Recycling	More than 60% of processing water is recycled, per one source we rate as low-to-medium confidence and could not corroborate against a primary disclosure
Water intensity per tonne	Not found
Formal water stewardship target	Not found
Comparison with brine	South American brine operations consume large volumes in evaporation ponds in water-stressed basins, and have generated sustained community conflict. Hard rock does not carry that exposure

The honest framing

Using saline, non-potable groundwater rather than competing for community fresh water is a genuine avoided-conflict advantage for a Pilbara hard-rock miner. But it is largely a geological given, not a distinctive strategic decision by PLS.

We therefore describe it as a risk PLS does not have rather than an advantage PLS created. Framing a favourable accident of geology as a shared-value achievement is exactly the move this case asks entrants to be sceptical about, and we would rather apply that scepticism to our own pick.

What we would ask management

Publish water intensity in kilolitres per tonne of concentrate, and a stewardship target. Both are standard under SASB's Metals and Mining standard and neither was retrievable.

This matters more as P2000 doubles throughput: a plant twice the size draws roughly twice the water from the same aquifer, and the absence of a disclosed intensity metric means neither we nor the regulator can see whether efficiency is improving or simply being outrun by volume.

Sources: mining-technology.com Pilgangoora project profile; farmonaut.com (recycling figure, low-to-medium confidence); general Pilbara hydrogeology literature. Items marked not found were searched for and could not be verified.

Tailings and biodiversity: the two we refuse to give PLS credit for

One is undisclosed and we will not guess. The other relies on a scheme an independent review found underfunded.

Tailings: not disclosed

We could not establish whether Pilgangoora uses filtered or dry-stack tailings or a conventional wet storage facility, nor its conformance status with the Global Industry Standard on Tailings Management.

Filtered tailings would be a genuine differentiator and several competing lithium operations promote it. PLS may well use it. But an undisclosed practice cannot be underwritten, and we would rather record an unpriced risk than assert a strength we cannot evidence.

This matters because P2000 roughly doubles throughput, and therefore roughly doubles tailings volumes, on an asset whose tailings method we cannot see.

Biodiversity: the offset scheme is the problem

PLS operates in the area covered by the Pilbara Environmental Offsets Fund, a pooled per-hectare payment scheme established in 2018 to fund landscape-level conservation for six threatened species including the northern quoll, the greater bilby and the night parrot.

An independent review reported by ABC News in October 2024 found the fund's rate - A$893 to A$3,781 per hectare cleared - too low to fund adequate conservation, compounded by almost no private land in the Pilbara bioregion available for like-for-like offsets.

A Northern Quoll Management Plan prepared for PLS exists, which is a point in its favour.

Why this is the most useful finding in our ESG work

This is a sector-wide structural failure, not a PLS-specific one. Every Pilbara miner pays into the same scheme, and every one of them can point to participation as evidence that biodiversity risk is managed. The independent review says it is not.

For an investor that has two consequences. First, no Pilbara miner - PLS included - can claim biodiversity risk is mitigated by pointing at the fund, and any deck that does so has not looked. Second, it is a live regulatory risk: a scheme found inadequate tends to be repriced, and the operator with the most hectares to clear has the most exposure. P2000 clears more hectares. We have listed it as an engagement ask rather than a valuation adjustment, because the timing and magnitude are genuinely unknowable.

Sources: ABC News, 'Pilbara mining offset scheme leaves threatened species short-changed, review finds', 21 October 2024; Western Australian Department of Biodiversity, Conservation and Attractions; a Northern Quoll Management Plan prepared for Pilbara Minerals by Animal Plant Mineral Pty Ltd.

Traditional Owners and heritage

Post-Juukan Gorge this is the single hardest constraint on Western Australian mine development, and it is the precondition for P2000.

Why it gates the growth option

Rio Tinto's destruction of the Juukan Gorge rock shelters in 2020 ended the era in which Western Australian heritage approvals were a formality. It cost that company its chief executive, triggered a federal parliamentary inquiry, and reset how every Pilbara operator is expected to engage.

The practical consequence for an investor is that heritage is now a schedule risk with a real distribution. Our P2000 base case assumes first ore in mid-2029 on a study due in the December 2026 quarter. A heritage dispute would not stop the project; it would move it, and a two-year move on a A$2.6bn net present value costs about A$407m at our discount rate, or A$0.13 per share.

What we could and could not verify

We were not able to confirm from our sources which Traditional Owner groups hold native title over the Pilgangoora tenements, the agreement type or its date, nor PLS's Indigenous employment percentage, Indigenous procurement spend or Reconciliation Action Plan level.

That is a significant gap in a shared-value assessment, and it is the reason we have valued schedule protection as an avoided delay rather than as a positive claim about relationship quality. We are pricing the absence of a disclosed problem, not the presence of a verified strength.

The circularity we had to confront, stated plainly

There is a tension in our own argument, and we would rather set it out than have it found. We claim social licence protects the P2000 schedule. We also report that the offsets regime underpinning environmental approvals in the region has been independently judged inadequate, and that we could not verify PLS's Indigenous engagement metrics.

The resolution is that these are different approvals with different failure modes. Heritage approval turns on relationships with Traditional Owners and on process; environmental offsets turn on a state scheme's pricing. PLS can be strong on the first and exposed on the second simultaneously, and on the evidence available it probably is. What we cannot do is claim the first without evidence, which is why A$0.13 per share is the smallest item in our bridge and why we have flagged the verification gap rather than filling it with an assumption.

Sources: team research; Australian Parliament Joint Standing Committee on Northern Australia inquiry into the destruction of Indigenous heritage sites at Juukan Gorge (2020-21). PLS-specific native title agreement details could not be verified from our environment and are recorded in the gaps register.

Workforce, safety and diversity

The area where our research came back thinnest. We report what we found and flag the rest rather than filling the gaps with sector averages.

Metric	What we found	Status
Total recordable injury frequency rate	Not retrievable for FY22-FY26	**Not found**
Lost time injury frequency rate	Not retrievable	**Not found**
Fatalities	None reported in the sources we reviewed	**No reports found**
Total workforce	Not retrievable as a headcount split between employees and contractors	**Not found**
Female participation	Not retrievable at overall, operational or leadership level	**Not found**
Board gender composition	One of the five directors we identified is the Chair, Kathleen Conlon; a second, Sally-Anne Layman, chairs the Sustainability Committee	**Partial**
Psychosocial safety	No PLS-specific response to the WA parliamentary inquiry into sexual harassment in the FIFO mining sector was retrievable	**Not found**
Community investment	Not retrievable as a dollar figure	**Not found**

Why we are showing a table of gaps rather than omitting the topic

Our research environment could not reach company websites or the ASX announcements platform, so the FY26 Sustainability Report was not readable. Every figure above sits in that document. We could have substituted sector averages and produced a page that looked complete; a page that looks complete and is not is worse than a page that admits what it does not know.

For the live rounds, these are the first numbers we would retrieve, and the safety record in particular would materially change our view of execution risk on a doubling of throughput.

Sources: team research. Every item marked not found was searched for and could not be verified from the environment available to us. See the gaps register at F5.

Governance

The structure is better than the disclosure. A standing board Sustainability Committee is a real signal; the absence of visible ESG-linked pay is a real gap.

Element	What we found	Assessment
Board Sustainability Committee	Exists as a standing committee, chaired by Sally-Anne Layman, who also sits on Audit and Risk	**Genuine strength**
Board independence	Described across sources as five independent non-executive directors plus the chief executive; we identified five people in total	**Partly verified**
Chair experience	Kathleen Conlon, formerly Chair of Lynas Rare Earths - directly relevant critical-minerals experience	**Strength**
ESG metrics in incentive pay	We could not verify whether sustainability measures carry weightings in short or long-term incentive scorecards	**Material gap**
Remuneration report strikes	None found	**No issues found**
Capital allocation framework	Stated policy: 20-30% of free cash flow to dividends, leverage below 1.5x through the cycle, excess to debt reduction, buybacks or growth	**Clear and tested**
Capital allocated FY23-FY26	A$4.8bn: A$2.4bn to capital investment (50%), A$1.7bn to the balance sheet (35%), A$0.8bn to shareholders (16%)	**Disciplined**

The one that matters for a shared-value thesis

If ESG outcomes are not in the incentive scorecard, then a shared-value strategy depends on management goodwill rather than on management incentives - and goodwill does not survive a change of chief executive. We could not verify either way. It is our second engagement ask after dated emissions targets, and it is the question we would put first at an investor meeting: not "what is your net-zero ambition" but "what percentage of the chief executive's long-term incentive depends on reaching it".

Sources: PLS FY26 results and capital allocation commentary; discoveryalert.com.au; Capital Brief; Mining Magazine. The 2025 Corporate Governance Statement was identified but could not be opened from our environment.

External ratings, and why we did not lead with them

The case asks entrants to go beneath the ESG rank. We could not retrieve reliable ratings, and on reflection that did not weaken the analysis.

Provider	PLS score	Note
MSCI ESG Rating	Not retrieved	Not accessible from our environment
Sustainalytics ESG Risk	Not retrieved	Not accessible from our environment
S&P Global CSA	Not retrieved	Not accessible from our environment
CDP	Not retrieved	Not accessible from our environment
Controversies and fines	None found	No environmental prosecutions, EPA breaches or material ESG litigation surfaced in our searches

Why this is less damaging than it looks

The case explicitly asks entrants to go beneath a company's ESG rank and reporting. A rating is a third party's weighted average of disclosure quality; it is not evidence about whether ESG is wired into strategy.

Everything material in our assessment came from operating facts: a sorter that reduces milled tonnes, a kiln that removes calcination emissions, a target expressed as a decade, an offsets scheme found underfunded. None of those needed a rating, and a rating would not have revealed any of them.

But we are not pretending it is costless

Two things we lost. First, we cannot benchmark PLS against BHP, Rio Tinto, Fortescue, South32 and Mineral Resources on a common external scale, so our comparative judgement rests on our own reading of each company's disclosure rather than on a third party's.

Second, ratings do move flows. Index inclusion and ESG-mandated funds respond to them, so a rating change is a real, if crude, catalyst that we cannot forecast. We have not claimed one in either direction.

Sources: team research. Rating providers were not reachable from our environment; the absence of a retrieved score is not evidence about the score itself.

Our engagement plan as a shareholder

A long-only fund holding a position for years has one instrument beyond buying and selling. Here is how we would use it.

1	**Convert the net-zero window into a dated, validated target**	"The decade commencing 2040" is not a commitment a capital allocator can hold anyone to. We would ask for a single year and Science Based Targets initiative validation.	**Removes the largest single credibility gap in the low-carbon thesis**
2	**Publish emissions intensity per tonne and a verified product carbon footprint**	This is the number EU customers will require under the Battery Regulation regardless. Publishing early converts a compliance cost into a commercial credential.	**Directly enables the level-one market-access argument**
3	**Disclose the tailings method and GISTM conformance**	Tailings volumes roughly double with P2000. An undisclosed method on a doubling asset is an unpriced risk for every holder.	**Removes an unpriced risk we currently carry at nil**
4	**Put sustainability measures into incentive pay, with disclosed weightings**	A strategy that depends on management goodwill does not survive a change of management. Weighted scorecard metrics do.	**Makes the shared-value strategy durable beyond the current team**
5	**Get ahead of the Pilbara offsets problem**	The regional scheme has been independently found underfunded. The operator that funds genuine landscape conservation before the scheme is repriced buys both goodwill and regulatory optionality.	**Converts a sector-wide liability into a differentiator**

Why this belongs in an investment recommendation

Shared value is not something an investor observes from outside. Porter and Kramer's argument is that the returns come from changing how a business is run, which means a holder with a multi-year horizon is a participant rather than a spectator. Each of the five asks above would, if met, move a lever we have currently valued at zero.

Engagement priorities are the team's, derived from the gaps identified across section D.

How the model is built

Nineteen sheets, 1,728 live formulas, zero evaluation errors. One switch repoints the whole thing.

Sheet	What it does	Why it is there
Assumptions	Scenario switch, market data, CAPM and WACC build, orebody inputs, operating drivers	Every driver in the model resolves to a cell here. Nothing downstream is typed
Deck	Production by asset, realised price, unit cost and capex - all three scenarios side by side	The ACTIVE block uses CHOOSE() against the switch, so one cell repoints the model
Revenue Build	Volume times price by asset, with a freight and timing adjustment calibrated to reported revenue	FY25A and FY26A tie exactly to reported revenue
Income Statement, Balance Sheet, Cash Flow	FY24A to FY36F, fully articulated and balancing	The balance check row is nil in every year
DCF	Unlevered FCFF, mid-year discounting, reserve-life annuity terminal value, equity bridge	The primary valuation
Scenario Engine	A compact FCFF for each of bear, base and bull, computed simultaneously	So the scenario summary is live rather than a pasted snapshot
Sensitivity	WACC against mine life, and realised price against unit cost, with derived coefficients	The price and cost coefficients also drive the sensitivity grid in the main deck
ESG Value Bridge, Downstream Option	Shared-value levers converted to A$ per share; the downstream prize sized and risked	The analytical contribution of this submission
SOTP NAV, Trading Comps, Precedents, Football Field	Cross-checks and the weighted target price	So the DCF is not marking its own homework
Sources	Every input tagged A, G, M, D, E or C for provenance	So a reviewer can audit any number back to where it came from

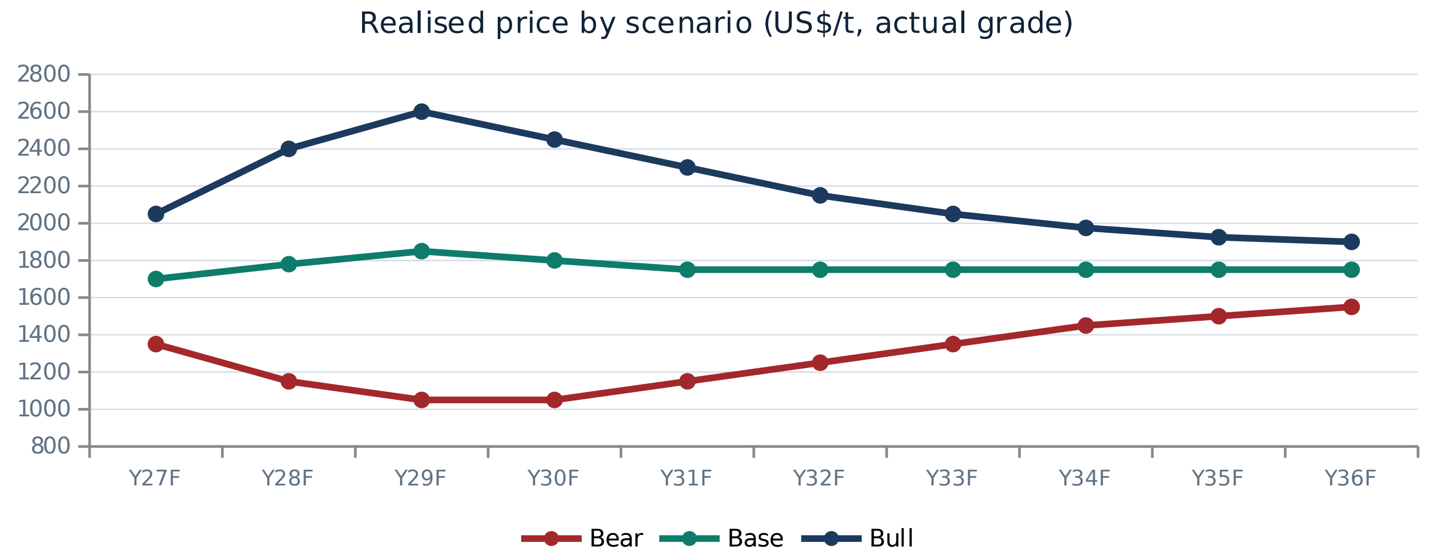
Colour convention, and how to interrogate it

Blue text is a hardcoded input, black is a formula, green is a link to another sheet, and yellow fill marks the judgements a reviewer should challenge first. To stress the model, change Assumptions!C7 to Bear or Bull and every statement, the DCF and the target price repoint. To test a single judgement, the yellow cells are the ones that matter: beta, the resource-to-reserve conversion, the WACC, and the active price and cost rows.

Source: the submitted workbook, PLS_Valuation_Model_FMAA_2026.xlsx. Formula and error counts are from the LibreOffice recalculation run at build time.

The price deck, and why all three cases converge

A trough forces supply out; a spike pulls it in. A perpetuity struck at either extreme is not a forecast, it is an arithmetic error.



The logic behind each path

- Bear: restart supply overwhelms demand into FY30 and the price reverts toward the 90th-percentile cash cost, where high-cost tonnes leave. Then it grinds back as that supply exits.
- Base: prices ease from the June-2026 quarter peak as restart tonnes land, then recover as the surplus narrows, settling near US$1,750/t.
- Bull: the 2027-29 deficit called by Fastmarkets, Morgan Stanley and UBS arrives, prices overshoot the incentive level, new supply responds, and the price mean-reverts down to the same anchor.
- All three converge because that is what commodity markets do. The scenarios differ on the path and on volumes, not on where the cycle ends.

US$/t realised	Y27F	Y28F	Y29F	Y30F	Y31F	Y32F	Y33F	Y34F	Y35F	Y36F
Bear	1350	1150	1050	1050	1150	1250	1350	1450	1500	1550
Base	1700	1780	1850	1800	1750	1750	1750	1750	1750	1750
Bull	2050	2400	2600	2450	2300	2150	2050	1975	1925	1900

Anchor points: FY26 actual realised US$1,488/t; June-2026 quarter US$2,107/t; spot SC6 about US$2,038-2,200/t in August 2026; the Australian Government forecast a 2026 average of US$2,236/t. Our base FY27 of US$1,700/t is below all of them.

Source: team valuation model, Deck sheet. Anchors per PLS quarterly reports, Benchmark Mineral Intelligence, S&P Global Platts and the Australian Government Resources and Energy Quarterly, June 2026.

Production build by asset

FY27 base of 1,065kt is the exact midpoint of company guidance. Everything after that is ours.

BASE CASE

kt of concentrate	Y27F	Y28F	Y29F	Y30F	Y31F	Y32F	Y33F	Y34F	Y35F	Y36F
Pilgan plant	900	920	920	920	920	920	920	920	920	920
Ngungaju plant	165	195	195	195	195	195	195	195	195	195
P2000 increment	0	0	0	250	550	800	885	885	885	885
Colina, Brazil	0	0	0	0	0	150	350	460	500	500
Total	**1,065**	**1,115**	**1,115**	**1,365**	**1,665**	**2,065**	**2,350**	**2,460**	**2,500**	**2,500**

BEAR CASE

kt of concentrate	Y27F	Y28F	Y29F	Y30F	Y31F	Y32F	Y33F	Y34F	Y35F	Y36F
Pilgan plant	880	880	870	870	860	860	850	850	850	850
Ngungaju plant	150	170	160	120	120	140	150	160	170	170
P2000 increment	0	0	0	0	0	0	0	0	0	0
Colina, Brazil	0	0	0	0	0	0	0	0	0	0
Total	**1,030**	**1,050**	**1,030**	**990**	**980**	**1,000**	**1,000**	**1,010**	**1,020**	**1,020**

BULL CASE

kt of concentrate	Y27F	Y28F	Y29F	Y30F	Y31F	Y32F	Y33F	Y34F	Y35F	Y36F
Pilgan plant	920	960	970	970	970	970	970	970	970	970
Ngungaju plant	180	205	205	205	205	205	205	205	205	205
P2000 increment	0	0	120	450	780	925	950	950	950	950
Colina, Brazil	0	0	0	0	180	380	500	560	560	560
Total	**1,100**	**1,165**	**1,295**	**1,625**	**2,135**	**2,480**	**2,625**	**2,685**	**2,685**	**2,685**

Sources: PLS FY27 guidance of 1,030-1,100kt; P2000 pre-feasibility study; Ngungaju restart announcement; team valuation model, Deck sheet.

Unit cost and capital expenditure build

FY27 cost and capex both sit at the midpoint of guidance. The bear case does not assume costs run away, because operators cut in a downturn.

UNIT OPERATING COST, FOB (A$/t)

A$/t	Y27F	Y28F	Y29F	Y30F	Y31F	Y32F	Y33F	Y34F	Y35F	Y36F
Bear	625	645	655	640	625	615	610	610	610	610
Base	**600**	**590**	**585**	**580**	**570**	**565**	**565**	**565**	**565**	**565**
Bull	585	565	550	540	530	525	520	520	520	520

CAPITAL EXPENDITURE (A$m)

A$m	Y27F	Y28F	Y29F	Y30F	Y31F	Y32F	Y33F	Y34F	Y35F	Y36F
Bear	620	400	340	320	300	295	290	290	290	290
Base	**652**	**880**	**1,020**	**760**	**560**	**520**	**430**	**390**	**370**	**370**
Bull	685	1020	1130	900	720	600	480	430	410	410

EBITDA, MODEL OUTPUT (A$m)

A$m	Y27F	Y28F	Y29F	Y30F	Y31F	Y32F	Y33F	Y34F	Y35F	Y36F
Bear	1,155	845	655	618	730	882	1,013	1,151	1,226	1,289
Base	**1,731**	**1,907**	**1,974**	**2,306**	**2,687**	**3,365**	**3,842**	**4,024**	**4,089**	**4,086**
Bull	2,332	2,995	3,638	4,206	5,068	5,436	5,434	5,299	5,124	5,035

Reading the cost rows

FY26 actual was A$569/t and FY27 guidance is A$575-625/t, with the step-up attributed to higher-cost Ngungaju tonnes. Our base case uses A$600/t, the midpoint, falling to A$565/t by the 2030s as P2000 volume dilutes fixed costs.

Sources: PLS FY26 results and FY27 guidance (A$575-625/t, capex A$620-685m including A$175m of approved P2000 pre-FID capital); team valuation model.

Income statement, base case

FY24A to FY36F. FY25A and FY26A tie to reported revenue and reported underlying EBITDA by construction.

A$m	FY24A	FY25A	FY26A	FY27F	FY28F	FY29F	FY30F	FY31F	FY32F	FY33F	FY34F	FY35F	FY36F
Revenue	**1,201**	**769**	**1,934**	**2,595**	**2,802**	**2,870**	**3,369**	**3,938**	**4,884**	**5,558**	**5,818**	**5,913**	**5,913**
Operating costs, FOB	(463)	(470)	(507)	(639)	(658)	(652)	(792)	(949)	(1,167)	(1,328)	(1,390)	(1,412)	(1,412)
State royalties	(60)	(38)	(97)	(130)	(140)	(143)	(168)	(197)	(244)	(278)	(291)	(296)	(296)
Corporate, admin and reconciliation	(140)	(164)	(193)	(95)	(97)	(100)	(102)	(105)	(107)	(110)	(113)	(116)	(119)
EBITDA	**538**	**97**	**1,137**	**1,731**	**1,907**	**1,974**	**2,306**	**2,687**	**3,365**	**3,842**	**4,024**	**4,089**	**4,086**
EBITDA margin	44.8%	12.6%	58.8%	66.7%	68.0%	68.8%	68.5%	68.2%	68.9%	69.1%	69.2%	69.2%	69.1%
Depreciation and amortisation	(300)	(330)	(360)	(368)	(401)	(456)	(521)	(548)	(550)	(546)	(533)	(516)	(500)
EBIT	**238**	**(233)**	**777**	**1,363**	**1,506**	**1,518**	**1,785**	**2,139**	**2,816**	**3,296**	**3,491**	**3,572**	**3,586**
Net interest	(10)	25	40	40	54	65	73	88	117	156	207	263	323
Profit before tax	228	(208)	817	1,403	1,560	1,583	1,858	2,226	2,932	3,452	3,698	3,836	3,909
Income tax expense	(68)	0	(245)	(421)	(468)	(475)	(558)	(668)	(880)	(1,035)	(1,109)	(1,151)	(1,173)
NPAT	**160**	**(208)**	**572**	**982**	**1,092**	**1,108**	**1,301**	**1,559**	**2,053**	**2,416**	**2,589**	**2,685**	**2,736**
EPS (A$)	0.05	(0.06)	0.18	0.30	0.34	0.34	0.40	0.48	0.64	0.75	0.80	0.83	0.85
DPS (A$)				0.09	0.10	0.10	0.20	0.24	0.32	0.38	0.40	0.42	0.42

The historical reconciliation line, explained

Our cost build is deliberately simple: volume times unit cost, plus a royalty, plus corporate overhead. Reported underlying EBITDA reflects a more granular cost definition than that. Rather than tune our inputs until the two happened to agree, we let the corporate line absorb the difference in FY24A to FY26A, and labelled it as a reconciliation. The result is that the historical columns tie exactly to reported figures and the forecast columns are driven purely by the deck, with no hidden plug.

Source: team valuation model, Income Statement sheet, base case. FY24A figures are estimates and are flagged as such in the workbook's source register.

Balance sheet, base case

Opens on the reported FY26 cash position and rolls forward. The balance check is nil in every year.

A$m	FY24A	FY25A	FY26A	FY27F	FY28F	FY29F	FY30F	FY31F	FY32F	FY33F	FY34F	FY35F	FY36F
Cash and equivalents			2,290	2,641	2,909	3,115	3,486	4,208	5,189	6,459	7,875	9,356	10,854
Net working capital			155	208	224	230	269	315	391	445	465	473	473
Property, plant and equipment			3,200	3,484	3,963	4,528	4,767	4,779	4,749	4,633	4,490	4,344	4,214
Total assets			**5,645**	**6,332**	**7,097**	**7,872**	**8,523**	**9,302**	**10,328**	**11,536**	**12,831**	**14,173**	**15,541**
Borrowings			828	828	828	828	828	828	828	828	828	828	828
Shareholders' equity			4,817	5,504	6,269	7,044	7,695	8,474	9,500	10,708	12,003	13,345	14,713
Total liabilities and equity			**5,645**	**6,332**	**7,097**	**7,872**	**8,523**	**9,302**	**10,328**	**11,536**	**12,831**	**14,173**	**15,541**
Balance check			**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**
Net cash / (net debt)			1,462	1,813	2,081	2,287	2,658	3,380	4,361	5,631	7,047	8,528	10,026
Return on equity				20.4%	19.8%	17.7%	18.5%	20.3%	24.2%	25.4%	24.2%	22.4%	20.5%
Return on invested capital				28.4%	28.6%	25.4%	26.3%	29.7%	38.7%	44.9%	48.1%	50.5%	52.1%

What we could not verify

The FY26 opening property, plant and equipment balance of A$3,200m is our estimate. We could not retrieve the reported net book value, and the ASX announcements platform was unreachable from our environment.

It matters because depreciation is struck as 11.5% of opening PP&E, so the estimate flows into EBIT and into tax. It does not affect the DCF, which is built on unlevered free cash flow where depreciation is added back.

The cash build, and why we raised the payout

On the base case PLS accumulates cash rapidly once the P2000 build is funded. Left at a 30% payout the balance sheet would carry an implausible cash pile by the mid-2030s.

We therefore step the payout ratio to 50% from FY30. This has no effect on the DCF, which values the firm before financing decisions, but it keeps the balance sheet and the earnings-per-share path realistic. The company's stated policy is 20-30% of free cash flow with excess available for buybacks or growth.

Source: team valuation model, Balance Sheet sheet. FY24A and FY25A balance sheets are not modelled; the DCF runs off the FY26A closing position.

Cash flow, base case

Free cash flow to the firm is the line the valuation actually uses. Everything below it is a financing choice.

A$m	FY24A	FY25A	FY26A	FY27F	FY28F	FY29F	FY30F	FY31F	FY32F	FY33F	FY34F	FY35F	FY36F
EBITDA			**1,137**	**1,731**	**1,907**	**1,974**	**2,306**	**2,687**	**3,365**	**3,842**	**4,024**	**4,089**	**4,086**
Net interest received / (paid)				40	54	65	73	88	117	156	207	263	323
Tax paid				(421)	(468)	(475)	(558)	(668)	(880)	(1,035)	(1,109)	(1,151)	(1,173)
Movement in working capital				(53)	(17)	(5)	(40)	(46)	(76)	(54)	(21)	(8)	0
Operating cash flow				**1,297**	**1,476**	**1,558**	**1,782**	**2,061**	**2,527**	**2,908**	**3,101**	**3,194**	**3,236**
Capital expenditure			(328)	(652)	(880)	(1,020)	(760)	(560)	(520)	(430)	(390)	(370)	(370)
Free cash flow to the firm				**645**	**596**	**538**	**1,022**	**1,501**	**2,007**	**2,478**	**2,711**	**2,824**	**2,866**
Dividends paid				(295)	(328)	(332)	(650)	(779)	(1,026)	(1,208)	(1,294)	(1,342)	(1,368)
Net movement in cash				**351**	**269**	**206**	**371**	**722**	**980**	**1,270**	**1,416**	**1,481**	**1,498**
Closing cash				**2,641**	**2,909**	**3,115**	**3,486**	**4,208**	**5,189**	**6,459**	**7,875**	**9,356**	**10,854**

Two simplifications we are declaring rather than burying

First, tax paid is shown equal to the accrued charge. In practice PLS carries franking credits and prior-year tax losses that would defer cash tax, so our near-term operating cash flow is conservative.

Second, the base case assumes the US$600m senior notes are refinanced at maturity rather than repaid, so no debt repayment appears in the financing lines. Neither simplification affects the DCF: free cash flow to the firm is struck before financing, and the equity bridge adds the FY26 net cash position rather than a projected one.

Source: team valuation model, Cash Flow sheet, base case.

Free cash flow and the discounted cash flow

Unlevered FCFF discounted at 8.88% on a mid-year convention, with a terminal value that is an annuity over the ore that is left.

A$m	FY24A	FY25A	FY26A	FY27F	FY28F	FY29F	FY30F	FY31F	FY32F	FY33F	FY34F	FY35F	FY36F
EBIT				1,363	1,506	1,518	1,785	2,139	2,816	3,296	3,491	3,572	3,586
NOPAT				**954**	**1,054**	**1,063**	**1,250**	**1,497**	**1,971**	**2,307**	**2,444**	**2,501**	**2,510**
Add back D&A				368	401	456	521	548	550	546	533	516	500
Less capital expenditure				(652)	(880)	(1,020)	(760)	(560)	(520)	(430)	(390)	(370)	(370)
Less increase in working capital				(53)	(17)	(5)	(40)	(46)	(76)	(54)	(21)	(8)	0
Free cash flow to the firm				**617**	**558**	**493**	**971**	**1,440**	**1,925**	**2,369**	**2,566**	**2,639**	**2,640**
Discount factor				0.958	0.880	0.808	0.743	0.682	0.626	0.575	0.528	0.485	0.446
Present value of FCFF				**592**	**492**	**399**	**721**	**982**	**1,206**	**1,363**	**1,356**	**1,281**	**1,177**

Base case bridge	A$m unless stated
Sum of PV of explicit forecast FCFF, FY27-FY36	9,566
PV of terminal value (16.1-year annuity)	9,894
Enterprise value	**19,460**
Add net cash	1,462
Equity value	**20,922**
Shares on issue (m)	3,220
Value per share (A$)	**6.50**
Last close (A$)	5.48
Implied upside	**+18.6%**
Terminal value as a share of EV	50.8%

Why terminal value is only half of enterprise value

On a growing perpetuity, the terminal period would have been A$18.9bn and roughly 68% of enterprise value - meaning most of the answer would rest on an assumption about the year 2037 onward.

The reserve-life annuity brings it to A$9.9bn and 50.8%. That is still a lot, and it is the honest position for a long-life mining asset: half the value is in the ten years we forecast explicitly, half in the sixteen years of ore that follow.

It also means the model is less sensitive to the terminal assumption than a conventional DCF, which is a feature rather than a coincidence. The sensitivity table at E11 shows the whole surface.

Source: team valuation model, DCF sheet. Discounting uses a mid-year convention; the stub from the 5 September 2026 valuation date to 30 June 2027 is not discounted separately and the effect is immaterial at this WACC.

Bear case

Restart supply overwhelms demand, prices revert toward the marginal cost, P2000 is never sanctioned, Colina never proceeds and Ngungaju is throttled back.

Driver	Y27F	Y28F	Y29F	Y30F	Y31F	Y32F	Y33F	Y34F	Y35F	Y36F
Concentrate sold (kt)	1,030	1,050	1,030	990	980	1,000	1,000	1,010	1,020	1,020
Realised price (US$/t)	1,350	1,150	1,050	1,050	1,150	1,250	1,350	1,450	1,500	1,550
Unit cost (A$/t)	625	645	655	640	625	615	610	610	610	610
Capital expenditure (A$m)	620	400	340	320	300	295	290	290	290	290
EBITDA (A$m)	**1,155**	**845**	**655**	**618**	**730**	**882**	**1,013**	**1,151**	**1,226**	**1,289**
FCFF (A$m)	**294**	**334**	**254**	**236**	**318**	**421**	**518**	**610**	**666**	**709**

Bear case bridge	A$m unless stated
PV of explicit FCFF, FY27-FY36	2,695
PV of terminal value	3,135
Memo: growing perpetuity would have given	4,347
Enterprise value	**5,830**
Add net cash	1,462
Equity value	**7,292**
Value per share (A$)	**2.27**
Upside / (downside)	**-58.7%**

Orebody	
Ore consumed to FY36 (Mt)	57.9
Ore remaining after FY36 (Mt)	276.6
Remaining mine life (years)	**25.0**
Terminal annuity factor	9.92x

What this case is telling you

A$2.26 is still 19% above the A$1.91 the market printed in the last trough, when PLS held A$974m of cash and was loss-making rather than A$2.29bn and earning A$526m. Note the mine life caps at 25 years, because a smaller operation

Scenario narrative: Restart supply overwhelms demand, prices revert toward the marginal cost, P2000 is never sanctioned, Colina never proceeds and Ngungaju is throttled back.

Source: team valuation model, Scenario Engine sheet. Set Assumptions!C7 to Bear to reproduce the full statements on this case.

Bull case

The 2027-29 deficit called by Fastmarkets, Morgan Stanley and UBS arrives, prices overshoot the incentive level before mean-reverting, and both P2000 and Colina proceed on schedule.

Driver	Y27F	Y28F	Y29F	Y30F	Y31F	Y32F	Y33F	Y34F	Y35F	Y36F
Concentrate sold (kt)	1,100	1,165	1,295	1,625	2,135	2,480	2,625	2,685	2,685	2,685
Realised price (US$/t)	2,050	2,400	2,600	2,450	2,300	2,150	2,050	1,975	1,925	1,900
Unit cost (A$/t)	585	565	550	540	530	525	520	520	520	520
Capital expenditure (A$m)	685	1,020	1,130	900	720	600	480	430	410	410
EBITDA (A$m)	**2,332**	**2,995**	**3,638**	**4,206**	**5,068**	**5,436**	**5,434**	**5,299**	**5,124**	**5,035**
FCFF (A$m)	**954**	**1,140**	**1,500**	**2,147**	**2,911**	**3,341**	**3,500**	**3,465**	**3,363**	**3,288**

Bull case bridge	A$m unless stated
PV of explicit FCFF, FY27-FY36	15,743
PV of terminal value	11,563
Memo: growing perpetuity would have given	25,668
Enterprise value	**27,307**
Add net cash	1,462
Equity value	**28,769**
Value per share (A$)	**8.93**
Upside / (downside)	**+63.0%**

Orebody	
Ore consumed to FY36 (Mt)	117.0
Ore remaining after FY36 (Mt)	217.5
Remaining mine life (years)	**14.2**
Terminal annuity factor	7.89x

What this case is telling you

Note the mine life falls to 14.2 years. Mining faster depletes the orebody faster, so the annuity period shortens and part of the volume upside is given back in the terminal value. A growing perpetuity would have hidden that entirely and

Scenario narrative: The 2027-29 deficit called by Fastmarkets, Morgan Stanley and UBS arrives, prices overshoot the incentive level before mean-reverting, and both P2000 and Colina proceed on schedule.

Source: team valuation model, Scenario Engine sheet. Set Assumptions!C7 to Bull to reproduce the full statements on this case.

Sensitivities

The price coefficient is A$46,304m per 100% change and the cost coefficient A$11,628m. Price matters four times as much as cost.

Base-case value per share against realised price and unit cost (A$)

Unit cost	-20%	-10%	+0%	+10%	+20%
-10%	3.98	5.42	6.86	8.30	9.73
-5%	3.80	5.24	6.68	8.12	9.55
+0%	3.62	5.06	**6.50**	7.94	9.37
+5%	3.44	4.88	6.32	7.76	9.19
+10%	3.26	4.70	6.14	7.57	9.01

What the coefficients mean

- A 1% change in realised price across every forecast year moves equity value by about A$463m, or A$0.14 per share.
- A 1% change in unit cost moves it by about A$116m, or A$0.04 per share.
- So price is roughly four times as powerful as cost. Operational excellence cannot rescue this position from a sustained price relapse - which is why the risk register leads with price.
- Shaded cells sit below the current share price of A$5.48.

Where the break-even sits

PLS needs realised prices no worse than about 8% below our base case to justify today's share price at unchanged costs. Our base case already sits 11% below spot-implied realisation and 19% below the June-2026 quarter exit rate. In other words the pitch does not require the price to rise from here - it requires the price not to fall by roughly a fifth from a level we have already discounted twice.

The workbook also carries a WACC against mine-life grid, which we have not reproduced here because it moves the answer far less: the annuity structure makes the model relatively insensitive to the terminal assumption.

Source: team valuation model, Sensitivity sheet. Coefficients are computed in the workbook from the base-case volume profile, after the realisation adjustment, royalties, tax and discounting, and include the effect on terminal value.

Trading comparables

8.0x to 11.0x FY27 estimated EBITDA against a diversified peer median near 7.8x. A premium for growth, capped for single-commodity risk.

Company	Market cap A$m	EV A$m	FY26 EBITDA A$m	EV/EBITDA	P/E forward	Consensus
BHP Group	312,560	343,660	50,600	n/a	17.4x	Hold
Rio Tinto	220,530	247,680	45,500	7.8x	11.7x	Hold
Fortescue	68,680	70,150	13,230	5.6x	14.7x	Neutral
South32	17,190	17,150	3,790	8.5x	18.2x	Buy
Mineral Resources	10,400	15,720	2,600	7.8x	15.5x	Buy
Peer median				**7.8x**	**15.5x**	
PLS Group	17,646	16,184	1,137	26.8x trailing	n/m	Buy

PLS valued on the peer set	
FY27 estimated EBITDA, base case (A$m)	1,731
Multiple applied - low	8.0x
Multiple applied - high	11.0x
Implied value per share - low (A$)	4.76
Implied value per share - high (A$)	6.37
Midpoint (A$)	**5.56**

Why the 26.8x is not the relevant number

PLS's trailing multiple looks extreme because FY26 EBITDA of A$1,137m captures a year that began with realised prices at US$742/t. On our FY27 estimate of A$1,731m the same enterprise value is roughly 9.4x. That is the cyclical trap in this sector: the stock looks expensive at the bottom and cheap at the top, and a multiple taken at either point is misleading.

Vendor caveat: providers disagree materially on EV/EBITDA across this peer set, reflecting different snapshot dates through a volatile 2026 and different methodologies. Treat single-point figures as indicative.

Sources: company FY26 results; data-vendor multiples, August 2026. PLS-implied values are computed in the workbook's Trading Comps sheet from the model's own FY27 EBITDA estimate.

Precedent transactions

Shown as reference only and given zero weight, because transaction multiples could not be sourced on a consistent basis.

Completed	Acquirer	Target	Value	Structure	Note
Mar 2025	Rio Tinto	Arcadium Lithium	US$6.7bn	All cash	US$5.85/share. The largest completed lithium deal on this page.
Jan 2025	PLS Group	Latin Resources	A$560m	All scrip	0.07 PLS shares per Latin share. Preserved PLS's net cash through the trough.
May 2026	Huayou Cobalt	Atlantic Lithium	US$210m	All cash	US$0.25486/share, a 26.6% premium. Explicitly a price-rebound deal.
Aug 2025	Sayona Mining	Piedmont Lithium	n/d	Merger of equals	50/50 split creating Elevra Lithium; both sub-scale standalone.
May 2024	SQM and Hancock	Azure Minerals	A$1.7bn	Scheme, cash	A$3.70/share. SQM's first Australian hard-rock foothold.
Lapsed 2023	Albemarle	Liontown Resources	A$6.6bn	Cash, withdrawn	A$3.00/share, nearly double the pre-bid price. Blocked by a 19.9% Hancock stake.
Jan 2024	Livent	Allkem	US$10.6bn	Merger of equals	Created Arcadium, which Rio acquired 14 months later.
Oct 2025	Ganfeng Lithium	Leo Lithium (Goulamina 40%)	US$343m	Staged cash	Plus a 1.5% gross revenue royalty for 20 years.

Why we gave this method zero weight

Two reasons, and we would rather state them than present a spurious multiple. First, no broker-published EV/EBITDA or EV/resource multiple for these deals was retrievable, and the targets' resource statements are on inconsistent bases - JORC against exploration target, ore tonnes against lithium carbonate equivalent - so any multiple we built would be meaningless.

Second, applying a control premium to our own discounted cash flow and calling the result an independent method is circular. It would inflate the football field using our own assumptions twice.

What the deals do tell us

Lithium dealmaking fell about 89% in 2025 across just four transactions, then accelerated in early 2026 on recovering prices and concern about future deficits. The Huayou acquisition of Atlantic Lithium in May 2026 was reported explicitly as price-rebound driven.

PLS at roughly A$17.6bn is also large for this sector: the biggest completed deal here was US$6.7bn. Consolidation in 2026 has run through sub-scale developers, not producers of PLS's size, so we do not present it as a takeover candidate.

Sources: company announcements for each transaction; trade press coverage of 2025-26 lithium M&A volumes. Deal values are as announced.

Sum of the parts

A risked asset-by-asset cross-check on the consolidated discounted cash flow, and a reminder of how much of the value is not yet producing.

Asset	Unrisked A$m	Risking	Risked A$m	A$/share	Basis
Pilgangoora, Pilgan plant	9,800	100%	9,800	3.04	In production at about 920ktpa steady state
Ngungaju plant	1,450	95%	1,378	0.43	Restarted July 2026; small risking for ramp-up execution
P2000 expansion	2,600	70%	1,820	0.57	PFS incremental NPV; risked for an FID not yet taken
Colina, Brazil	900	40%	360	0.11	Study due December-quarter 2027; no FID, no permits
Mid-stream plant	260	50%	130	0.04	Demonstration scale; first production guided this quarter
POSCO joint venture, 18%	320	85%	272	0.08	Both trains built; Train 2 ramping
Exploration and tenements	180	50%	90	0.03	Includes tenements acquired adjacent to Colina
Corporate costs capitalised	(900)	100%	(900)	(0.28)	Present value of unallocated overhead
Enterprise NAV			**12,950**	**4.02**	
Net cash			1,462	0.45	FY26 cash of A$2,290m less US$600m of notes
Equity NAV			**14,412**	**4.48**	

Why the NAV is below the DCF, and why that is the honest answer

Equity NAV of about A$4.48 sits well below both the A$6.50 base-case DCF and the A$5.48 share price. That is not a contradiction, it is a different question. The NAV values each asset separately, risk-weighted, at a point in time. The DCF values the consolidated cash flow the business actually generates, including the sixteen years of ore that follow the explicit forecast.

The gap is roughly the value of continuity: an operating business that keeps converting resource into reserve and reserve into cash flow is worth more than the sum of its individually risk-weighted parts. We present the NAV because it is the more conservative frame and because it makes visible that about A$0.80 per share of our valuation sits in assets that are not yet producing anything.

Source: team valuation model, SOTP NAV sheet. Asset net present values are the team's estimates built on the same price deck and discount rate as the consolidated DCF, except P2000 which uses the company's own PFS figure. Risk weightings are our judgement.

The downstream option, sized and risked

A$2,396m unrisked, A$1,023m risked, A$0.32 per share - and deliberately excluded from the A$6.12 target.

Lever	Volume	Unit margin	EBITDA A$m	Multiple	NPV A$m	Risk	A$/sh
Mid-stream lithium phosphate	400kt	A$480/t	192	8.0x	1,536	45%	**0.21**
POSCO joint venture equity	43ktpa	A$4,200/t	33	8.0x	260	70%	**0.06**
Low-carbon qualification premium	1,000kt	A$75/t	75	8.0x	600	25%	**0.05**
Total			**300**		**2,396**		**0.32**

The assumptions, stated so they can be attacked

Mid-stream: 400kt of concentrate calcined in-house, being 20% of a 2Mtpa base, at the conversion margin retained rather than ceded to a third-party converter. Neither the volume share nor the margin is disclosed by PLS.

POSCO: 43ktpa of hydroxide at an assumed A$4,200/t conversion margin, PLS share 18%. The option to lift that stake to 30% is not valued at all.

Qualification premium: 1,000kt of qualified volume at an assumed A$75/t. This is the weakest of the three and we risk it hardest, at 25%, because no verified carbon-linked premium exists in any PLS contract we could find.

Why it sits outside the target price

Because none of it is earning yet. The mid-stream plant produces its first lithium phosphate in the September 2026 quarter, the joint venture is still ramping, and the premium is unproven.

Keeping it outside means the recommendation does not depend on it. The A$6.12 target rests on an operating asset with a disclosed cost base and company-guided volumes. Everything on this page is upside we have identified, sized and then declined to bank.

Target plus the risked option would be A$6.44, or 17.5% above the last close. We are not publishing that as the target, and we would rather a judge asked us why not than why we had.

Source: team valuation model, Downstream Option sheet. Volumes, margins, multiples and probabilities are the team's assumptions and are all visible and editable in the workbook.

Full risk register

Twelve risks, each with an inherent rating, a mitigant, a residual rating and a named indicator we would actually watch.

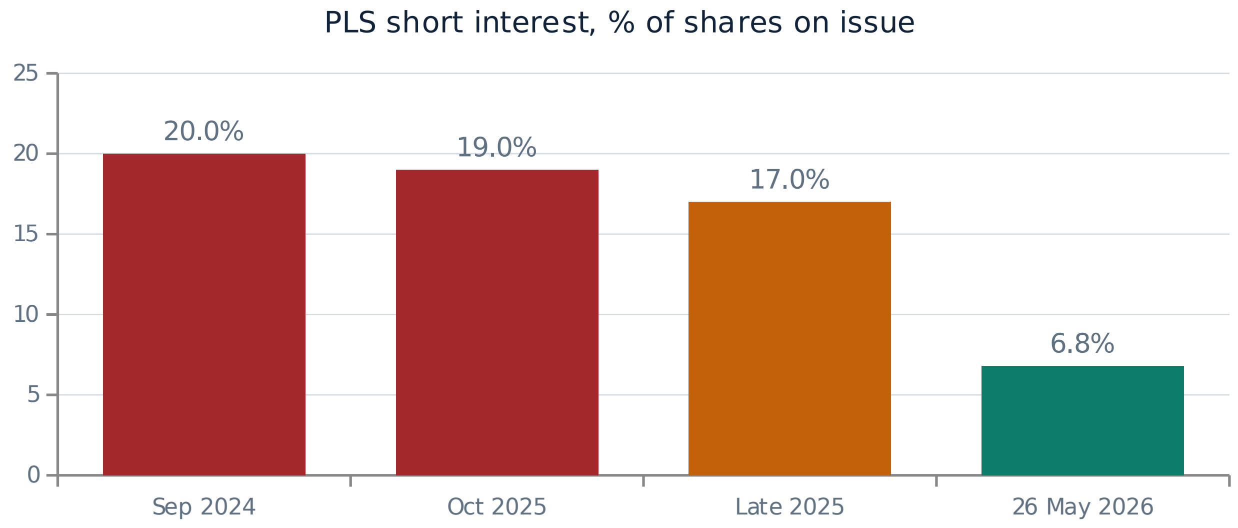
Risk	Inh.	Mitigant	Res.	Indicator we watch
Sustained price relapse	High	Bottom-quartile cost position and A$2.29bn of cash allow PLS to wait. Bear case still values it at A$2.26.	High	Monthly SpodIX prints; Chinese carbonate inventory days
Re-rating already spent	High	Target rests on FY27 earnings and the growth option, not on further short covering.	Med	ASIC short position reports; a rebuild above 10%
P2000 deferred or shelved	High	A$175m of pre-FID capital committed; balance sheet can fund the A$1.2bn build.	Med	December-quarter 2026 study outcome; the FID itself
Single asset concentration	High	Colina adds a second jurisdiction from the 2030s, risked at 40% and contributing nothing before FY32.	High	Any Pilgangoora interruption; cyclone season
Reserve conversion below 75%	Med	The 2025 resource upgrade lifted contained lithium 23%, which supports conversion.	Med	The next Ore Reserve statement; below 60% costs about A$0.40/share
Carbon premium never materialises	Med	Already valued at zero inside the target and risked at 25% outside it.	Low	First PLS contract with a disclosed carbon-linked term
Cost inflation in the Pilbara	Med	Ore sorting and P2000 scale dilute fixed costs; guidance held within a A$50/t band.	Med	Quarterly unit cost against the A$575-625/t guidance
Tailings incident or disclosure shock	Med	None. The method is undisclosed and we carry this as unpriced.	Med	Any tailings or GISTM disclosure; P2000 approval conditions
Offsets regime repriced	Med	Sector-wide, not PLS-specific. An operator that gets ahead of it gains rather than loses.	Med	Western Australian offsets policy review outcomes
Sodium-ion substitution in storage	Low	Late-decade at the earliest, and our terminal value is a finite annuity rather than a perpetuity.	Med	Sodium-ion cell cost per kWh; announced storage orders
Key person and governance	Low	Chief executive since 2022 with a full cycle behind him; standing board Sustainability Committee.	Low	Executive departures; whether ESG enters incentive pay
Currency	Low	Revenue in US dollars, costs largely in Australian dollars - a weaker Australian dollar helps margins.	Low	AUD/USD against our 0.66-0.70 forecast path

The first four are the ones that decide this position. Everything below them is manageable within a normal holding period. If a judge asks which single line would make us wrong, it is the first: a sustained price relapse of about a fifth from our base case takes the target to roughly A$4.98 and the recommendation with it.

Source: team assessment. Inherent and residual ratings are ours. Indicators are chosen because they are publicly observable at a known frequency, not because they are comprehensive.

Short interest: the part of the re-rating that cannot repeat

PLS went from the most shorted stock on the ASX to roughly the fortieth in eighteen months. That buyer has now finished buying.



Why we put this in the deck rather than leaving it out

- PLS was the largest, most liquid pure-play way to be short falling lithium prices, and the market used it that way: about one share in five on issue was borrowed short in September 2024.
- The price then went from A$1.91 to A$5.48. A material part of that move was shorts closing, not new fundamental buyers arriving.
- By May 2026 short interest was about 6.8% and PLS had dropped to roughly fortieth on the ASX by that measure.
- The mechanical consequence is that the same buyer cannot return. Anyone underwriting a repeat of the last twelve months is underwriting flow that has already happened.
- Our target therefore rests on FY27 earnings and the growth option. If it required another squeeze, we would not be recommending it.

Caveat on the data

The most recent hard figure we could retrieve is dated 26 May 2026. ASIC publishes short positions daily and the current number may differ. Before the live rounds this should be refreshed from the ASIC short position report. A rebuild above 10% would tell us that a well-resourced group of investors disagrees with this thesis, and we would treat that as information rather than noise.

Sources: ASIC short position reports as reported via shortman.com.au and market commentary. Latest retrievable data point 26 May 2026.

What moved the share price, and what the market thinks now

A near-tripling in twelve months, and a consensus that lands almost exactly on the current price. Our disagreement with the street is narrow and specific.

Period	What happened	Effect
Sep 2024	Lithium prices near the trough; PLS the most shorted stock on the ASX at about 20% of shares	Share price reaches A$1.91, the 52-week low
Dec 2024	Ngungaju placed into care and maintenance; FY25 guidance cut	Capacity withdrawn rather than tonnes sold below cost
Jan 2025	Latin Resources acquisition completes in all scrip	A second orebody added without spending cash at the bottom of the cycle
Through 2025	Spodumene begins recovering; CATL's Jianxiawo suspended	Short covering begins; short interest falls from 20% to about 17%
Dec 2025	Pilbara Minerals renamed PLS Group	Signals the shift from single-asset miner to multi-asset group
Jun 2026	Mid-stream plant opened; June-quarter realised price reaches US$2,107/t	The exit rate runs 40% above the full-year average
Jul 2026	Ngungaju restarted; FY27 guidance of 1,030-1,100kt issued	A 17-25% volume step-up flagged
24 Aug 2026	FY26 results: revenue up 152%, EBITDA up roughly ninefold, dividend reinstated	Shares rise on the day; the stock reaches A$5.48

Where consensus sits

Vendor averages cluster between about A$4.50 and A$5.70 against a A$5.48 last close, with the full individual spread running from A$2.50 to A$6.83 across seventeen to twenty analysts. The consensus rating is Buy.

In plain terms the street thinks PLS is roughly fairly valued and that the range of reasonable answers is enormous - a factor of 2.7 between the most bearish and most bullish analyst. That dispersion is itself the opportunity: it means the disagreement is about lithium price assumptions, not about the company.

What we think the street is missing

Not the lithium price. Our FY27 assumption of US$1,700/t is deliberately below spot and below the Australian Government's own forecast, so we are not out-forecasting anyone on the commodity.

What we think is underpriced is the operating position: a cost base that is falling for structural reasons, a growth option with committed pre-FID capital, and a downstream route that becomes commercially relevant exactly as carbon accounting reaches raw materials. That is A$0.43 of the A$0.64 of upside we see, and it is why our A$6.12 sits above the vendor average without sitting outside the analyst range.

Sources: PLS announcements; data-vendor consensus reads, August-September 2026; market commentary. Consensus figures differ by provider and snapshot date and are shown as a range rather than a point.

What we could not verify

The register of every material gap in our own work. We would rather hand a judge this list than have them assemble it.

Item	Why it is missing	How we handled it
Total borrowings at 30 June 2026	Only the US$600m senior notes issue is confirmed. One source cites about A$1.2bn including leases	Used A$828m, the notes translated at spot. Net cash of A$1.46bn would fall to about A$1.09bn on the higher figure, costing roughly A$0.12/share
Ore Reserve since August 2023	Not restated after the June 2025 resource upgrade	Applied a 75% resource-to-reserve conversion and sensitised it. Flagged as a catalyst in both directions
FY26 property, plant and equipment	Annual report not reachable from our environment	Estimated A$3,200m. Affects depreciation and tax, not the unlevered DCF
Scope 3 emissions and intensity per tonne	Not disclosed by PLS	Named as a material gap and made an engagement ask. The low-carbon claim cannot presently be declared
Tailings method and GISTM status	Not disclosed	Refused to assert either way. Carried as an unpriced risk
Safety, workforce and diversity metrics	Sustainability Report not reachable	Reported the gap rather than substituting sector averages
Native title agreement detail	Not retrievable	Valued schedule protection as an avoided delay, not as a claim about relationship quality
ESG metrics in incentive pay	Not retrievable	Named as our second engagement ask
Named broker price targets	Not retrievable individually	Used vendor consensus ranges and showed the full spread
Current short interest	Latest hard data 26 May 2026	Flagged the date and named a rebuild above 10% as a warning signal
FY24 comparatives	Outside the scope of our sourcing	Marked as estimates in the workbook and in the income statement footnote
External ESG ratings	Providers not reachable	Explained why operating evidence mattered more, and acknowledged the loss of a common benchmark

The honest framing

Our research environment could not open company websites or the ASX announcements platform, so every reported figure was corroborated across two or more independent secondary reports of the same announcement rather than read from the primary document. Headline FY26 figures are consistent across sources. Everything above is what that constraint cost us.

Source: team research log. This register is reproduced from the Sources sheet of the submitted workbook.

Glossary

Written for a reader who does not work in mining, because a term nobody understands is a claim nobody can check.

Spodumene	The lithium-bearing mineral in hard rock. Mined, crushed and floated into a concentrate.
SC6	Industry benchmark grade of 6.0% lithium oxide. PLS ships below it, so it realises less per tonne.
LCE	Lithium carbonate equivalent. The common unit for comparing lithium across chemical forms.
CIF	Cost, insurance and freight. A delivered price including shipping.
Calcination	Heating concentrate to convert the mineral structure. The most energy-intensive step in the chain.
Hydroxide and carbonate	The two battery-grade lithium chemicals. Hydroxide suits nickel-rich cathodes, carbonate suits iron phosphate.
BESS	Battery energy storage system. Grid-scale storage, now roughly a third of lithium demand.
FID	Final investment decision. The board commitment to build. P2000 has not reached one.
Ore Reserve vs Mineral Resource	A reserve is the economically mineable part of a resource. PLS's reserve statement predates its latest resource.
GISTM	Global Industry Standard on Tailings Management, the post-Brumadinho benchmark for tailings safety.
WACC	Weighted average cost of capital. The rate at which we discount future cash flows.
Terminal value	The value of cash flows beyond the explicit forecast. Ours is an annuity, not a perpetuity.

Spodumene concentrate	The product PLS sells: rock upgraded to roughly 5.2% lithium oxide.
Li2O	Lithium oxide. How lithium content in rock is measured.
FOB	Free on board. The cost to get product onto the ship, excluding freight to the customer.
Mass pull	Tonnes of concentrate produced per tonne of ore processed. PLS is about 17.5%.
Lithium phosphate	The mid-stream product PLS's Calix plant will produce, between concentrate and battery chemicals.
LFP and NMC	Lithium iron phosphate and nickel manganese cobalt: the two dominant cathode chemistries.
P680, P1000, P2000	PLS's sequential expansion projects, named for target annual concentrate capacity in thousands of tonnes.
PFS and DFS	Pre-feasibility and definitive feasibility studies. A DFS carries a tighter accuracy range.
Scope 1, 2 and 3	Direct emissions, purchased-energy emissions, and everything else in the value chain.
FEOC	Foreign entity of concern. US rules restricting China-linked supply chains from subsidy eligibility.
FCFF	Free cash flow to the firm. Cash generated before financing decisions - what the DCF values.
Fly-in fly-out	The Pilbara workforce model, and the context for psychosocial safety scrutiny.

Definitions are the team's, written for a general reader. Where a term has a formal technical definition, that definition governs.

Bibliography

Grouped by what each source supports. Every figure in this submission traces to one of these or to the workbook's source register.

Company disclosure

- PLS Group FY26 results and investor presentation, 24 August 2026
- PLS Group June-2026 quarterly activities report, 30 July 2026
- PLS Group Mineral Resource update, June 2025; Ore Reserve statement, August 2023
- P2000 Pre-Feasibility Study announcement, 21 June 2024; pre-FID capital approval, June 2026
- Ngungaju care and maintenance (Dec 2024) and restart announcements
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Market and commodity

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- IEA Global Critical Minerals Outlook 2026 and Global EV Outlook
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Policy and regulation

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- US Inflation Reduction Act foreign-entity-of-concern provisions
- Australian Critical Minerals Production Tax Incentive
- Government of Zimbabwe raw mineral export ban, 25 February 2026

ESG and social

- ABC News, 'Pilbara mining offset scheme leaves threatened species short-changed, review finds', 21 October 2024
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- TOMRA Mining and Global Mining Review on the Pilgangoora ore sorter
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Frameworks

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- Porter, M., 'How Competitive Forces Shape Strategy', Harvard Business Review, 1979
- Helmer, H., '7 Powers: The Foundations of Business Strategy', 2016
- Yip, G., 'Barriers to Entry', 1982
- SASB Metals and Mining sustainability accounting standard

Market data and comparables

- Company FY26 results for BHP, Rio Tinto, Fortescue, South32 and Mineral Resources
- Market Index, stockanalysis.com and Google Finance quote data, August-September 2026
- ASIC short position reports via shortman.com.au
- Announcements for the lithium transactions listed at E13

Research constraint: company websites and the ASX announcements platform were not reachable from our environment, so company disclosures were accessed through secondary reporting and corroborated across independent sources. See F4 for the full gaps register.

Disclaimer and team

Prepared as a university case-competition submission using publicly available information.

Basis of preparation

This submission was prepared for the Shared Value Project and FMAA 'Investing for the Future' Case Competition 2026, in the role of analysts in the shared value coverage team at FMAA Asset Management, addressing the portfolio manager of an ASX 200 long-only fund.

All information is drawn from publicly available sources. Valuation inputs prescribed by the case document - a 5.00% risk-free rate, a 6.00% market risk premium and an equity beta of 0.73 - have been used as directed.

Forecasts are the authors' estimates. They will differ from outcomes.

Not investment advice

This document is a student case-competition submission. It is not investment advice, not a recommendation to buy or sell any security, and not a substitute for independent professional research.

Neither the authors nor FMAA Asset Management - a fictional entity created for the purposes of this competition - accepts liability for any use of this material.

Figures are current to 5 September 2026 and have not been updated for subsequent events.

Reproducibility

Every figure in this deck can be traced to the accompanying workbook, PLS_Valuation_Model_FMAA_2026.xlsx. The workbook contains nineteen sheets and 1,728 live formulas with no evaluation errors. Its Sources sheet tags every input by provenance: A for a reported actual, G for company guidance, M for market data, D for a derived figure, E for our own estimate and C for an input prescribed by the case.

To reproduce any scenario in this appendix, set Assumptions!C7 to Bear, Base or Bull. The production profile, price deck, cost deck, capital expenditure, all three financial statements, the discounted cash flow and the target price repoint from that single cell.